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Edward A. Morse[1]
PROFESSOR OF LAW
MCGRATH NORTH MULLIN & KRATZ ENDOWED CHAIR IN BUSINESS LAW
CREIGHTON UNIVERSITY SCHOOL OF LAW
MORSE@CREIGHTON.EDU

This outline covers significant developments in federal income taxation along with a few other interesting or noteworthy tax topics. It is not intended to provide exhaustive coverage, but it offers a selective treatment of items likely to interest practitioners and advisors within a broad range of professional practices. Information discussed includes events from last year's program through November 14, 2011. Another version of this outline was prepared for the Great Plains Tax Institute in Omaha, Nebraska.

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I. Gross Income

A. Timing Issues and Accounting Methods

1. Share transfer restrictions delayed consumption but did not prevent constructive receipt, United States v. Fort, 638 F.3d 1334 (11th Cir. 2011).

Taxpayer was an E&Y partner who received Cap Gemini shares in exchange for his interest in E&Y in connection with the spin-off of E&Y's consulting business to Cap Gemini. Pursuant to an agreement, one fourth of each partner's shares would be sold to fund the tax liability on receipt and the balance would be deposited in an individual account at Merrill Lynch. Shares in the account could not be withdrawn immediately, but were gradually released over a period of four years and 300 days. The purpose of this restriction was to prevent all the partners from selling shares, thereby diminishing their value. In addition, shares could be forfeited as "liquidated damages" to the extent the partner breached his employment agreement, voluntarily left his employment, or was terminated for cause. Termination for "poor performance" caused only a portion of the shares to be lost. During the period these restrictions were in effect, the owners would have dividend and voting rights, and the owners would have the full risks and rewards of market changes.

Following several other partners, Taxpayer decided to file an amended return claiming that he was not in constructive receipt of these shares during the 2000 tax year on account of the restrictions. He initially received over $300,000 in tax refunds, which the government then sued to return. The district court granted summary judgment to the government, and this appeal followed.

The Eleventh Circuit upheld the district court's ruling, finding that the taxpayer here had sufficient indicia of control over the shares to constitute constructive receipt. Other courts had reached this conclusion with regard to Cap Gemini transactions, and in particular the Eleventh Circuit found *United States v. Fletcher* (7th Cir. 2009) as instructive. Here, although transfer restrictions prevented the partners from accessing and selling their shares, they were "merely a delay of consumption, not a delay of income." Although the taxpayer argued that the prospect of termination for "poor performance" really meant "for no reason at all", the Court rejected this approach, which made this factor like the others as being within the control of the partner. The mere potential that a determination of "poor performance" might involve subjective judgment by the employer was not sufficient to prevent constructive receipt.

Comment: For another recent case in which an E&Y partner lost his claim based on constructive receipt, see Hartman v. United States, 99 Fed. Cl. 168 (2011).

2. Deduction not permitted under all-events test, New York Life Ins. Co. v. United States, 780 F.Supp.2d 324 (S.D. N.Y. 2011).

New York Life is required by state law to distribute a portion of its surplus earnings to owners of its policies. These dividends are payable on the anniversary of the policy but only if the policy is still in force and premiums have been paid. During the years at issue, New York Life had a practice of crediting these dividends on the later of 30 days after all premiums had been received or thirty days before the policy anniversary date. A tax issue arises when the policy date falls in January but the company accrues the liability in December, taking a deduction under section 808(c) of the Code for such dividends "paid or accrued" during the year. At issue here was whether these dividends paid in a subsequent tax year were "accrued" in

December. (The company further limited this deduction to dividends it expected to pay in the first 8 ½ months of the following year pursuant to the economic performance rules of 461(h)(3)(A)(ii)(II)). Nearly $100 million in tax was at stake in taxes and interest, for which a refund was sought.

However, the District Court held that New York Life had failed to state a claim for which relief could be granted. In this case, the court found that the liability to make a dividend payment was contingent, not fixed. There was no obligation to pay the dividend until the anniversary, as until that time the policyholder could cancel the policy and thus relieve the company of its liability. Although the company practices had never failed to pay a dividend that was credited to the policyholder's account, the court found it controlling that the company was not required to do so, thus making the claim a contingent one.

Further, even though the company would be required to pay a "termination dividend" if the policy was cancelled, the court found that kind of dividend to be contingent also because it would not occur unless the policyholder terminated. So not even this smaller amount could survive the first part of the all-events test; no accrual was permitted. The court did not reach the second and third parts, i.e., determinable with reasonable accuracy and economic performance.

Comment: Query whether the holding on the "termination dividend" amount is vulnerable to reversal on appeal. In Hughes Properties, the amount of the progressive liability on the slot machine was fixed at the minimum amount, but the payout would still be contingent based on a winner occurring in the next year. If the contingency of winning did not prevent accrual in that case, is the contingency of termination arguably irrelevant?

3. Accrual of bonus allowable if total amount known, but particular payees uncertain, Rev. Rul. 2011-29, 2011 WL 5379455 (11/9/11).

Taxpayer uses the accrual method and pays bonuses to a group of employees. The bonus program fixes the amount of the bonus based on an action by the board or other corporate action. However, the bonuses are not paid until after year end, not later than February 15. If an employee is not employed as of the bonus payment date, that employee's bonus share is reallocated among the other employees eligible for bonuses. In these circumstances, the Service ruled that the fact of the liability has been established before year-end, allowing accrual of the bonus liability despite the fact that the amount paid to any single employee is not determinable until the next taxable year. Following *Hughes Properties*, the ultimate identity of the payee need not be established, as long as the liability is otherwise fixed.

Comment: The bonus will be paid no matter what – and the determination of the payee is not necessary. This time the government position got Hughes Properties right.

4. Sale of annuity had occurred, despite failure to formally transfer title, Estate of Lay v. Commissioner, T.C. Memo 2011-208.

This case continues the Enron saga in a matter involving its former CEO, Ken Lay (now deceased) and his wife regarding the tax treatment of a putative sale of annuity contracts to Enron in 2001. In 1999, the Lays had paid $5 million each for two annuity contracts, one of which covered Ken and the other covered his wife. In 2001, following his resignation as CEO, the Enron board wanted to induce Ken to return to his CEO post following the departure of his replacement, Jeffrey Skilling. The Lays had "liquidity issues" which the board determined to solve by purchasing these annuities, which would have a better outcome for the Lays than if it purchased some of Ken's Enron stock. The board hired an appraiser, which determined the fair market value of the annuities was over $11 million, but the board offered the Lays $10 million. Ken would have the opportunity to earn these contracts back at the end of 4.25 years of service.

The Lays reported the transaction on schedule D as a sale of a capital asset, and since their basis was $10 million they reported no gain. Ken would later resign from Enron at the board's request, and thus would not be able to earn back the annuities. Enron filed a bankruptcy petition in December 2001, in which it listed these two annuities as its property. However, while the Lays had executed all of the paperwork in connection with a contract to transfer the annuities to Enron, the insurance company had not transferred title on its books. The company required original change forms, while they had received only facsimiles.

Meanwhile, the IRS pursued Enron in an employment tax audit. In 2004, the Company settled with the IRS by issuing a revised W-2 to Ken Lay showing an additional $10 million of gross income from compensation on account of the purchase of the annuity. A notice of deficiency followed, precipitating this tax case.

The Tax Court ruled for the Lays, concluding that a sale had occurred under Texas law, since the benefits and burdens of ownership had transferred to Enron and the formal title did not control the outcome. Here, the Lays had done everything they could to transfer the interests in the contracts. The fact that Enron may not have transferred original documents to the insurance company did not prevent the sale from occurring. The court also rejected arguments that the Lays received compensation under section 83, as there was no subsequent retransfer of property to them, and it also rejected an argument that the Lays received some form of disguised compensation from the purchase price being in excess of value, as there was ample evidence to show that the intention of the company was to purchase the contracts, not to provide additional compensation. The subsequent issuance of a revised Form W-2 was considered irrelevant to that purpose.

Comment: The case is useful as a primer on the conditions for a sale for tax purposes. The role of intention in determining whether there is a compensatory purpose in a purchase of property was also important to this outcome.

5. Streamlined relief for late PAL election for real estate professionals, Rev. Proc. 2011-34, 2011-24 I.R.B. 874.

Treas. Reg. § 1.469-9(g) allows a qualifying taxpayer to elect to treat all interests in rental real estate as a single activity for purposes of evaluating whether the taxpayer materially participates. Ordinarily, that is done by filing a statement with the taxpayer's return for the taxable year. However, Revenue Procedure 2011-34 provides procedures for late elections under these regulations, thereby avoiding the need to apply for a private letter ruling (and the user fee of up to $14K).

Comment: With the growing burden of filing disclosures and requirements, it is nice to have the ability to correct a mistake.

6. Gift card tax accounting treatment confirmed, Rev. Proc. 2011-18, 2011-5 I.R.B. 443.

Taxpayers who sell gift cards are allowed to defer advance payments received from the sale of gift cards redeemable for goods or services of the taxpayer by using a "deferral method" of accounting, provided in Rev. Proc. 2004-34. That deferral method is available to accrual-method taxpayers who also do not include the payments as revenues for financial reporting statements in the year of receipt. However, those payments must be included in the next succeeding tax year. This new Rev. Proc. clarifies that the deferral method is allowed even when the gift card may be redeemable through other entities, not the taxpayer receiving the revenue.

Comment: Taxpayers with affiliated entities who fulfill gift card obligations will welcome this clarification. The Rev. Proc. also provides audit protection and guidance of changing a method of accounting to conform to these rules. Retailer issues involving gift cards in exchange for returned goods are covered in Rev. Proc. 2011-17, which also contains period and method guidance.

7. Denial of accounting method change for prepaid expenses within IRS discretion, Lattice Semiconductor v. Commissioner, T.C. Memo 2011-100.

Taxpayer regularly incurred expenses for prepaid insurance, maintenance, and service contracts. The benefits from these contracts did not extend past 12 months, but they often spanned two tax years. Prior to 2002, taxpayer capitalized those expenses for contracts that extended substantially into the subsequent tax year. However, in 2002, the Treasury announced an "Advance Notice of Proposed Rulemaking" indicating its intention to promulgate regulations that would no longer require 12-month prepaid expenses to be capitalized under section 263. An industry directive was later promulgated stating the likely adoption of a 12-month rule, reflecting a change in the Service's position. Proposed regulations were published in December 2002, but they advised taxpayers not to seek an accounting method change until final regulations were published.

In reliance upon theses proposed regulations and the favorable decision in *U.S. Freightways Corp. v. Commissioner*, 270 F.3d 1137 (7th Cir. 2001), taxpayer filed an accounting method change late in 2002. Thereafter, prior to any answer from the Service, taxpayer filed its 2002 return and claimed a deduction for these prepaid expenses. Final regulations were not promulgated until January 2004, effective after December 31, 2003 (i.e., after the taxpayer unilaterally changed its accounting method). The Service issued Rev. Proc. 2004-23 in early 2004, which provided an automatic change procedure for changes that complied with the new regulations. However, that Rev. Proc. also announced that requests for accounting method changes for years prior to the effective date of the regulations would not be granted. Ultimately, the Service denied taxpayer's request to change its accounting method and issued a notice of deficiency.

The Tax Court agreed with the Service that the refusal to grant permission for an accounting method change in this context was within its discretion. Although the taxpayer cited the Ninth Circuit's case in *Zaninovich* in favor of its application of the 12-month rule, the court agreed with the Service that this case was limited to cash method taxpayers. It also rejected the use of the advance notice of proposed rulemaking, as this did not affect the current administrative position. (See also *Blasius v. Commissioner,* T.C. Memo 2005-214, on this point.) Further, although *U.S. Freightways* did support the taxpayer's position, it was not binding outside of the 7th Circuit. On this basis, the denial of an accounting method change was not an abuse of discretion. The court refused to reach the issue of whether discretion was involved due to an automatic rejection policy in the Rev. Proc.

Comment: This case reinforces the broad discretionary authority of the Service in matters of granting permission for accounting method changes. When the Service changes a position, it also apparently reserves the right to say when the position changes, as illustrated in the final *regulations and in the automatic change procedure. The case also teaches the familiar lesson that not all taxpayers are treated equally, given the implications of the Golsen rule.*

8. Deferral imposed by section 267(a)(2) constitutes change in method of accounting, Bosamia v. Commissioner, __ F.3d __, 2011 WL 5027013 (5th Cir. 2011), affirming T.C. Memo 2010-218.

Taxpayers owned all the stock of two S corporations, which did business with each other. One corporation purchased inventory from the other on account, but each used a different method of accounting. The purchaser used the accrual method, thus deducting yearly increases in its accounts payable from cost of goods sold. However, the seller used the cash method and deferred the income from these sales in the year the payments were received. These transactions occurred from 1998-2004. Service audited the 2004 tax year, and proposed an adjustment to disallow the accounts payable deductions taken by the purchaser. Since the 1998-02 tax years were closed by the statute of limitations, the Service made a section 481 adjustment that increased the purchaser's income (by disallowing the cumulative effect of the increases in accounts payable for inventory that had previously been deducted) by $877,581, causing a deficiency of $295,818 and an accuracy penalty of $59,163.

Before the Tax Court, the taxpayers contested the section 481 adjustment, but the Tax Court agreed with the Service that section 267(a)(2) disallowance effected a change in method of accounting, which permitted the section 481 adjustment to reach back and correct that erroneous method.

On appeal, the Fifth Circuit upheld the Tax Court's decision. It viewed the question of whether a change in method of accounting had occurred as a legal issue eligible for de novo review. Here, the Commissioner's adjustment under section 267 effectively changed the purchasing corporation from the accrual method to the cash method by delaying the time in which it was eligible for deduction. This involved the timing of a material item, and thus effected a change. Moreover, there was no merit to the taxpayer's argument that section 481 frustrates the policies of the statute of limitations involving a period of repose, as the claim is made in an open year and the adjustment corrects a timing difference, not a permanent change.

Comment: Note that penalties applied here. Taxpayers with related entities, take note of the 267 limitations on deductibility.

9. Accounting for credit card late fees come was method of accounting; no accrual for coupon redemptions in advance of redemption, Capital One Financial Corp. v. Commissioner, __F.3d __, 2011 WL 5024216 (4th Cir. 2011).

The Fourth Circuit affirmed the Tax Court on both of these tax accounting issues raised by Capital One. On the first issue, Capital One filed Form 3115 with its 1998 tax return seeking to change its method of accounting for interest and OID based on provisions of the Taxpayer Relief Act of 1997. Capital One apparently sought to treat various fees (including late payment, overlimit, cash advance, and interchange fees) as OID on its 1998 return. Unfortunately, it failed to treat late fee income as OID on its 1998 and 1999 returns. Had it done so, it would have saved millions in taxes by deferring the year in which those fees were included in taxable income based on the time of payment by the customer.

Capital One sought to change its accounting method for late fees in its 2000 tax return, but it did so without seeking additional consent from the Commissioner. In 2004, the Service had issued additional guidance informing taxpayers that late fees could be treated as OID, thus conceding that the method used in 2000 was appropriate. H4owever, the critical problem for Capital One was that it failed to obtain consent to change its method. The court reaffirmed the value of consent in the administration of the tax law, and rejected Capital One's argument that it was exempt from the consent requirement. Even a change from an improper to a proper method requires consent, and the 1997 TRA did not change this requirement. Moreover, the Form 3115 filed with the 1998 return was not sufficient for this purpose. Form 3115 only sought consent to change "for interest and OID that are subject to the provisions of section 1004 [of the 1997 TRA]." Treasury Regulations require that the Form must specific "all classes of items that will be treated differently under the new method of accounting." The Fifth Circuit agreed that this level of generality was not sufficient, particularly when late fees are listed as a separate item on income statements and they are significant – 22% of gross receipts in the 1998 year. The taxpayer has the burden to "make both its intentions and its requests to change a material item clear." However, this language "was broad and ambiguous" and it "served to obscure rather than clarify."

Even if Capital One had received consent, its actual practice would have created a new method of accounting because it had been followed consistently for two years. This was no "correction of mathematical or posting errors, or errors in the computation of tax liability" for which consent is not required. Thus Capital One had to stick with the method it implemented until it received consent to change.

On the second issue, involving the accrual of expenses relating to miles earned by cardholders and yet to be redeemed, the Fifth Circuit likewise upheld the Commissioner and affirmed the Tax Court. Capital One admitted that it was unknown when a cardholder would earn sufficient miles to qualify for travel, and when, if ever, the cardholder would redeem those miles. Nevertheless, it had claimed deductions based on estimated future liabilities under an exception in the regulations allowed for trading stamps and premium coupons. However, the Court found that credit card lending is not a sale and Capital One could not use this theory.

Comment: This case provides an excellent lesson on the importance of choosing and following accounting methods, and to obtain consent before making changes. It also provides a warning to taxpayers concerning the risk associated with using general language in a change request. While it was understandable (and perhaps even seemed clever at the time) to use general language when the Service had not yet issued guidance on the treatment of these income items (and in fact waited more than six years to do so), that generality turned out not to be helpful. Query whether more specific language might have boosted a "correction of error" argument for this taxpayer.

B. Exclusions from Gross Income.

1. Disability retirement benefits not excludable under section 104, Zardo v. Commissioner, T.C. Memo 2011-7.

Zardo was a meat cutter and a member of a union pension plan. Under that plan, Zardo received disability retirement benefits which were based on the number of years he had worked and a benefit factor for each year. All the contributions to this plan were made by the employer with pretax dollars. Zardo became disabled due to injuries on the job. He received workers compensation benefits, and ultimately also received social security disability benefits. However, the primary issue presented in his case involved the treatment of $26 thousand in disability retirement benefits from his union pension plan. Zardo sought to exclude these benefits from gross income, citing section 104(a)(2) as the authority for doing so in a statement filed with his return. The Service disagreed, landing Zardo in the Tax Court.

The Tax Court first analyzed the payments under section 104(a)(1), but found this exclusion for workers compensation benefits inapplicable because the funds came from a private collective bargaining agreement, not under a statute. Second, it looked at section 104(a)(2), finding that this provision did not cover the payments, either, given that there was no prosecution of a suit or settlement agreement in lieu of a prosecution. Without a tort-based claim, there would be no exclusion under section 104(a)(2). Finally, the court also looked at section 105(c). Here, the payments were not based on the nature of the injury, but were based on Zardo's years of service.

Comment: The law here is well settled, but its application in this case illustrates a common situation when an employer-provided benefit plan covers disability. Contracting for benefits in advance in this context was more expensive, tax-wise, when payments are received as compared to using tort law as the vehicle for recovery. However, the employer-provided benefits were tax-favored.

2. Proposed regulations clarify that owner, not disregarded entity, is "taxpayer" for purposes of section 108 exclusions, Prop. Reg. § 1.108-9 (REG-154159-09).

These proposed regulations confirm that the taxpayer is the owner, not the disregarded entity (e.g., single-member LLC or grantor trust), in any situation in which there is discharge of indebtedness income. (This also means that a single-member LLC's bankruptcy petition may not entitle the owner to exclude income based on section 108 unless that owner is also in bankruptcy.)

3. Failure to get a 1099, even from the Government, does not create tax-exempt income, Megibow v. Commissioner, T.C. Memo 2011-211.

Taxpayer received three checks in 2007 from the Treasury refunding overpayments of his 1997, 1998, and 2006 taxes. Taxpayer did not report any portion of these checks as interest, and he received no Form 1099 indicating that he received interest. However, the IRS checked their records and found he had earned $1,808.44 in interest, which he failed to report. At trial, the IRS introduced their accounting records, which showed an interest amount. The taxpayer failed to put on evidence on this point, and the court pointed out, his counsel's argument was not evidence. Thus, the IRS carried the day by a preponderance of evidence.

Comment: Lest there was any doubt, nonreceipt of an information return does not convert a taxable item to a nontaxable one. But note the possibility that reliance upon information from a payor might provide a basis for avoiding an accuracy penalty. See Nipps, T.C. Memo 2011-267, discussed below at p. 52.

4. Cell phone from employers is working condition fringe; personal calls a de minimis fringe benefit, Notice 2011-72, 2011-38 I.R.B. 407.

As a result of a 2010 legislative change effective for tax years beginning after 12/31/09, cell phones were removed from the status of "listed property", thereby relieving onerous recordkeeping requirements otherwise imposed justify tax-exempt treatment for employer-provided cell phones used for both business and personal calls. The Notice clarifies that recordkeeping is not ordinarily required, but the employer will need to show that the phone is issued for a noncompensatory business purpose, such as a need to contact the employee out of the office or the need to speak to clients in other time zones. "A cell phone provided to promote the morale or good will of an employee" won't count.

5. Breach of lease did not generate COD income, Kleber v. Commissioner, T.C. Memo 2011-233.

Taxpayer executed a lease with the Department of the Navy which required her to farm 1,140 acres of land from January 1, 1997 to December 31, 2001. Annual rents were $191,520, payable quarterly. After August 4, 1998, Taxpayer failed to make her rent payments. On December 28, 1998, she notified the Navy that she was no longer able to perform the farming activities required under the lease. On January 11, 1999, the Navy told her it would terminate the lease for default, and it demanded back rents of $196,020 plus accrued interest. Later, the Navy modified the contract by changing the expiration date to January 11, 1999, and it determined past due rent on this basis. The Government persisted in pursuing the taxpayer on this back rent plus accrued interest until 2005, when it ultimately authorized a "writeoff" of the debt and sent a Form 1099-C to the taxpayer showing income of $263,587. Taxpayer did not include this in her 2005 tax return, and the Service asserted a deficiency.

The Tax court found that in this case, the taxpayer had presented sufficient evidence showing that the discharge occurred during 2002, not in 2005, to shift the burden of proof to the Commissioner. When a debt has been discharged is a fact-specific determination, which "often turns of the subjective intent of the creditor as manifested by an objectively identifiable event." Issuing a 1099-C is not dispositive; neither is a mere bookkeeping entry. Section 1.6050P-1(b)(2)(iv) of the regulations provides a rebuttable presumption that debt has been discharged when the creditor has not received payment during a 36 month testing period ending at the close of the year. Significant bona fide collection activity, which is something more than nominal or ministerial collection actions, can rebut this presumption. Here, the Commissioner could not produce such evidence, and thus the taxpayer prevailed.

Comment: When the debt arises from unpaid rent from business property used by a cash method taxpayer, discharge of indebtedness income is ordinarily not realized. See I.R.C. § 108(e)(2)("No income shall be realized from the discharge of indebtedness to the extent that payment of the liability would have given rise to a deduction." Query why this theory was not raised here – was the taxpayer not using the cash method? Or not engaged in farming business?

6. Qui Tam payment to whistleblower is gross income, Campbell v. Commissioner, __ F.3d __, 2011 WL 4467629 (11th Cir. 2011).

Taxpayer received a net $5.25 million qui tam payment from the government for his role as relator in two False Claims Act lawsuits against his former employer. The total payment of $8.75 million was wired to his attorneys, who deducted 40% as a fee, remitting the balance of $5.25 million. On his return, he displayed the $5.25 million as "other income" but included a statement explaining that he excluded it from taxable income. He also stated that the $3.5 million attorney fee was not taxable income.

The IRS challenged only the $5.25 million exclusion, and the Tax Court agreed that this was gross income. While this was an issue of first impression in the Eleventh Circuit, the court found that the payment was in the nature of an award, which is includable in gross income. Here, accuracy penalties were also imposed; there was no reasonable cause for his position.

Comment: As the court explains in a footnote, "'Qui tam' is short for a Latin phrase which means he or she 'who pursues this action on our Lord the King's behalf as well as his own.'" Those Latin folks sure know how to shorten a phrase. Oddly enough, the Service did not pick up the attorney fee issue in this case, presumably because at this time there was Eleventh Circuit authority for excluding those fees. In Commissioner v. Banks, 543 U.S. 426 (2005), the Supreme Court would later settle this issue by holding that the contingent fee portion is included in gross income. (But see I.R.C. § 62(a)(20) for a limited "above the line" deduction.") Thus, this case is not useful to support the taxpayer's treatment of the fees.

7. Embezzler, not his corporation, was taxable on ill-gotten gains, Wood v. Commissioner, T.C. Memo 2011-190.

Over the course of several years, Wood misappropriated funds from his employer. In 2005, he pled guilty to unlawful taking and was sentenced to jail. For the 2001-2003 tax years, the funds taken totaled nearly $500,000, and Wood failed to report any of these amounts. He used considerable funds for paying personal expenses and credit card bills, but some of the funds were used to support Woodie's, an incorporated grocery store that Wood operated in addition to his day job. Wood served as president of Woodie's and oversaw its daily affairs.

Wood conceded taxes and penalties on amounts he used for personal expenses, but asserted that he was not the proper taxpayer on the amounts contributed to Woodie's. His theory: he acted as an agent of Woodie's to embezzle those funds. To sweeten the deal, he also claimed that Woodie's was not taxable either, as the funds were a nontaxable contribution of capital. The Tax Court rejected the agency argument, finding that there was not support for his agency theory in the record. Further, he had dominion and control over the funds he embezzled, and he was properly taxable. Woodie's was not a party to the proceeding, so no ruling on the contribution of capital theory was necessary. Penalties were sustained.

Comment: You have to give credit for the chutzpah and creativity inherent in this theory – well, maybe not.

C. Deferred Income.

1. Gross income from life insurance contract termination, Brown v. Commissioner, T.C. Memo 2011-83.

Taxpayer held a life insurance contract that was terminated by the insurer and the entire cash value of $37,365.06 was applied against a policy loan. The insurer prepared a 1099-R showing a taxable amount of $29,093.30, which it computed by subtracting $8,271.76 (i.e., the net cost of the insurance) from the cash value applied against the taxpayer's debt.

The Tax Court agreed that the taxpayer here had a taxable gain, rejecting arguments by the taxpayer that their case should be distinguishable from others before the court because the policy loan was used solely to pay for life insurance premiums. According to the court, the use of the proceeds does not matter; what counts is whether the debt was genuine. Thus, in this case, the insurer loaned taxpayer the money to pay premiums and he enjoyed the benefits of the policy while it was outstanding. Taxpayers here also were assessed a 20% penalty, as they failed to provide substantial authority and reasonable cause and good faith.

Comment: The case is straightforward, but the facts are potentially complex in that the taxpayer used various means to pay his premiums. Those struggling with the section 72(e) computations might consult this case for guidance. Also notable: the court noted in passing that one of the authorities relied upon by taxpayers was issued after their return was filed, and thus could not be substantial authority. Of course, the authorities used by the court in that case to reach its conclusion might nevertheless be supportive of the taxpayer's rationale.

2. Extended replacement period for livestock sold due to drought, Notice 2011-79, 2011-41 I.R.B. 498.

Section 1033(e) defers the recognition of gain when eligible livestock is sold in a manner that departs from the taxpayer's regular business practices on account of drought, flood, or other weather-related conditions. Ordinarily, the deferral period ends unless the taxpayer replaces the livestock no more than four years after the close of the taxable year in which gain is otherwise realized. However, if drought conditions persist, the Secretary is permitted to extend the replacement period until the end of the first taxable year ending after the first drought-free year of the applicable region. The notice includes a list of counties affected by drought during the preceding 12 months.

Comment: While drought affects only a few counties in southern and eastern Iowa and Deuel county in Nebraska, and no counties in South Dakota, much of the southern U.S. has been in persistent drought. Taxpayers affected by flooding may also benefit from this provision, though drought conditions receive special treatment in terms of review by the Secretary, presumably on account of the likely duration of these weather events.

3. Missed utilization of a remedy triggers an early distribution penalty, *Ryan v. Commissioner, T.C. Memo 2011-139.*

The taxpayer in this case worked as an aerospace engineer for the Air Force and participated in a Federal Employee's Thrift Savings Plan ("TSP") from which he received a $50,000 lump-sum loan. Prior to repaying the outstanding balance, the employment status of the taxpayer became unclear, generating administrative and legal battles. During these controversies, the trustee for the TSP issued a notice requesting repayment of his loan balance, advising him that if he did not sign a statement indicating his intention to repay, the loan would be closed and he would be taxed on the balance as a distribution, which would be subject to a penalty for early withdrawal. Taxpayer did not sign the statement, but continued to make payments. The TSP nevertheless closed the loan and denied the taxpayer's request to reinstate it, even refusing future payments on that loan. Taxpayer included the loan in his 2006 income, and the Service assessed an early withdrawal penalty. Taxpayer challenged not only the penalty, but the income inclusion, thereby changing his return position.

The Tax Court upheld both the tax and the penalty, although the route for doing so took it through special administrative regulations applicable to government employees. Had the taxpayer known what to do, it could have given the TSP notice to reinstate the loan within 90 days after he had been reinstated, but he failed to do this. His prior request to reinstate the loan was ineffective, as this occurred while the litigation was still pending and before he had been reinstated as an employee. Thus, the Uniformed Services Employment and Reemployment Rights Regulations, 67 Fed. Reg. 35051, were critical to the outcome.

Comment: This case serves as a reminder that tax advisors need to analyze the applicable government regulations (here, non-tax regulations) carefully in these matters. The Tax Court criticized both parties for analyzing the wrong standard ("separation from service" vs "separated from Government service") to determine termination of employment. (See note 10).

4. Update to Rev. Proc. 2008-24 makes tax-free exchange for annuity contracts even easier, Rev. Proc. 2011-38, 2011-30 I.R.B. 66.

A tax-free exchange under I.R.C. § 1035 is available for the direct transfer of cash surrender value from an existing annuity contract to a second annuity contract if various requirements are met. See *Conway v. Commissioner*, 111 T.C. 350 (1998) and Rev. Rul. 2007-24, both of which are cited in Rev. Proc. 2008-34. Due to several practical issues, two procedures were eliminated (automatic characterization and requirements to met an I.R.C. § 72(q) condition) and two procedures were updated (timeframe for withdrawals reduced from 12 months to 6 months and approaches for partial exchanges) in Rev. Proc. 2011-38.

D. Characterization.

1. Sale of state tax credits generates capital gain income, Tempel v. Commissioner, 136 T.C. No 15 (2011).

Taxpayers donated a conservation easement to a qualified organization in Colorado, which was valued at $836,500. They incurred over $11 thousand in professional fees in connection with the donation, and they received in return $260,000 of conservation easement income tax credits from the state of Colorado. Colorado law permits these credits to be sold, and the taxpayers did so, reporting the net proceeds of a sale (less broker's expenses) of a portion of those credits on their 2004 tax return as a short-term capital gain. The taxpayers also allocated a portion of the professional fees incurred to the credits they sold as basis. (E.g., they sold $110,000 worth of credits in 2004, so they allocated $110/260 of the professional fees incurred to basis.)

The Service contended that the sale generated ordinary income, not capital gain, and that the taxpayers had no basis in these credits. Based on the *Virginia Historic Tax Credit Fund* case (see above), the Service conceded that the credits were property. Further, the Service conceded that none of the eight categories delineated in I.R.C. § 1221(a) defining exceptions to the capital gains regime was applicable to state tax credits. However, the court also recognized that courts have recognized that there is "no single definitive definition" of a capital asset, and the "substitute for ordinary income" doctrine is recognized as a judicially constructed constraint on the types of property that will qualify as a capital asset. This doctrine has been applied in a number of contractual contexts.

The Court rejected any characterization of the credits as involving a contract right. It also rejected the "substitute for ordinary income" doctrine here, finding that there was no right under state law to receive a refund during 2004. The Service also argued that a taxpayer selling his state tax credits may also have income because, due to not using the credits, their state tax deductions under section 164 would be greater. However, the Court rejected any idea that a reduction in federal taxes somehow creates income. This finding also became important in distinguishing other cases in which the substitute for ordinary income doctrine had applied, since the credits could not give rise to ordinary income if they were used to reduce tax, and thus their sale could not give rise to ordinary income, either.

On the matter of basis, however, the Service was correct. The taxpayer's attempt to assign a cost basis to the credits under section 1012 was foiled, in this case, on two grounds. First, the court concludes these expenses are deductible under section 212 (3), and thus suggests they are not capital for that reason. Moreover, section 1012 focuses on the cost basis of an asset, and in this case, the court notes that the taxpayers did not acquire the credits by purchase. They were unilaterally granted by the State. The credits were also separate from any conservation easement, and thus could not be treated as allocable on that basis. Further, the disconnected status of the credits in relation to the land would prevent any holding period tacking, which the taxpayers asserted could elevate the gains to long-term capital gains in this case. Instead, their holding period began when they received the credits, and ended when they sold them.

Comment: The discussion of the "substitute for ordinary income" doctrine and the capital gains characterization in this case is potentially helpful in other cases in which capital gains characterization is at issue.

2. Settlement proceeds from trade secret claim were ordinary, not capital, Freda v. Commissioner, 656 F.3d 570 (7th Cir. 2011).

Taxpayers were shareholders in an S corporation that brought suit in 1993 against its former business partner, Pizza Hut, Inc., regarding trade secret appropriation with regard to a process for making and freezing pre-cooked sausage. Pizza Hut approached the corporation with an offer to purchase 200,000 pounds of sausage per week, on the condition that the corporation must share its process with other vendors. The corporation agreed, entering into a contract with Pizza Hut and licensing agreements with other suppliers the required confidentiality. Pizza Hut allegedly breached the contract by failing to purchase the designated quantity and by disclosing the process to IBP, which then proceeded to undercut the corporation.

The corporation sued both Pizza Hut and IBP, but the suit against Pizza Hut was initially dismissed. The suit against IBP, which alleged trade secret misappropriation, resulted in a $10.9 million damage award, which was paid in 2000. For tax purposes, the corporation treated $2.86 million of the award as ordinary income on the ground that it represented lost profits that it would have earned if IBP had not misappropriated the trade secret; the balance was a capital gain. This "met no resistance from the Commissioner."

The suit against Pizza Hut found its way to the Federal Circuit, which remanded the misappropriation claim to the district court. Pizza Hut ultimately settled for $15.3 million. After attorney fees, expenses, and payments to a former shareholder who had redeemed shares for an interest in the suit, the corporation took home $6.12 million cash in 2002, which it reported as capital gain as the sale of a trade secret.

The Service challenged this transaction on various grounds, including the deduction of a portion of the settlement proceeds attributed to the former shareholder. However, it later conceded all issues except for the matter of the characterization of the settlement proceeds. The Tax Court agreed with the Commissioner that this was ordinary income, thus generating this appeal.

The Seventh Circuit, in a 2-1 decision, affirmed, concluding that the taxpayer failed to carry its burden to show that the Commissioner's "presumptively correct deficiency assessments are erroneous." Although the familiar "origin of the claim" doctrine from *United States v. Gilmore* (SCT 1963) would seemingly support capital treatment here, the Seventh Circuit drilled deeper here to evaluate the basis of the recovery. The Tax Court had found that "Pizza Hut paid the amount at issue … for 'lost profits, lost opportunities, operating losses and expenditures,'", language which tracked the relief requested in the corporation's complaint.

Although the Tax Court "implicitly recognized that trade secret misappropriation claims – and recoveries associated with them – are rather chameleonic", the Seventh Circuit found that the complaint could be read to support the Tax Court's determination that lost profits, rather than the value of the trade secret (admittedly a capital asset), was the purpose of the litigation. Significantly, the Court also recognized that IBP's settlement had been reported, in part, as lost profits – a position that the taxpayer admitted at oral argument was erroneous.

The Seventh Circuit also rejected an alternative argument that the transaction here constituted a "protracted commercial transaction in which a capital asset … was exchanged for money." This position alleged that Pizza Hut had "bought" the trade secret when it misappropriated the process. However, the court found that this transaction lacked the hallmarks of a sale – even an involuntary one. The Tax Court had found against the sale or exchange of a trade secret, and thus the taxpayer failed to carry its burden to overcome that determination.

A dissenting judge agreed that there was no sale here, but disagreed vigorously on the main argument. In the dissent's view, the fact that lost profits claims were brought did not preclude these amounts from being rooted in the lost value of the trade secret misappropriated by Pizza Hut.

Comments: Capital assets generally have value because of their income producing potential. The case illustrates not only the importance of winning at trial in a close case, but also the importance of having tax lawyers review the complaint when litigation could produce results that could present characterization issues affecting the recipients. Here, it seems the cautious approach toward reporting settlement with IBP also worked against the taxpayers.

3. Settlement of claims resulted in ordinary income, not capital gains, Healthpoint, Ltd. v. Commissioner, T.C. Memo 2011-241.

Healthpoint (a partnership) brought two separate but similar lawsuits against a competitor that allegedly packaged and marketed a generic form of a prescription ointment. Defects in the product allegedly caused consumer and physician confusion, thereby harming Healthpoint's trademark and causing other damages to its business.

The first lawsuit ended in a jury verdict of $16.1 million, which was specifically allocated between Lanham Act damages for trademark injury of $6.3 million, along with various other forms of actual and punitive damages. After trial and while appeal was pending to the Fifth Circuit, the parties tried to reach a settlement. Meanwhile, a second lawsuit had been filed, alleging similar claims that were not joined to the first lawsuit solely because of timing. The parties exchanged different proposals. "Without the aid of tax counsel", Healthpoint proposed a basis for settlement involving a total payment of over $16 million for both lawsuits. However, the defendant could not agree to any characterizations that suggested willful or knowing misconduct. Thus, the final agreement allocated more than $14 million to damage to goodwill, with the balance to lost profits.

No documentation supported the goodwill damages. Tax counsel was not involved, but Healthpoint was generally aware that ordinary income produced a higher tax burden than capital gain. The Service challenged this allocation, alleging that more of the settlement should be ordinary income, and that the jury verdict was an appropriate means to measure the relative proportions of capital gains and ordinary income. The Tax Court agreed, finding that the general adversity between the parties was not a basis for finding that the parties were adverse.

Here, the defendant was only interested in ensuring that the damages were not labeled as punitive, but otherwise it did not care about the result. However, a recovery based on lost good will would be beneficial to Healthpoint. Allocation based on the comparable lawsuit and the jury verdict rendered there was deemed appropriate.

An accuracy-related penalty was also imposed on Healthpoint. Although it had relied upon tax counsel to oversee the final settlement agreement, there was no opinion as to the propriety of the allocations in the agreement. Moreover, tax counsel did not participate in negotiations. The counterargument that negotiations were not completed based on the advice of tax counsel was found insufficient to protect from a penalty.

Comment: This case shows the potential value of involving tax counsel early on in a litigation matter in which taxable damages may be recovered. One a judgment is rendered, it can be hard to make post-trial adjustments to the components of the damage award.

4. Capital expenditures to improve home estimated under Cohan rule, Greenwald v. Commissioner, T.C. Memo 2011-239.

Taxpayer improved a home he owned, using accounts from a now-defunct corporation's credit cards to pay for the improvements. The Service first challenged whether this constituted an addition to basis for the property, given that the funds did not directly come from the taxpayer. However, the Tax Court agreed that in this case, taxpayer used the corporation's accounts as "his personal piggy bank clearing house agent", and that in substance the taxpayer was incurring these improvement costs, not his corporation.

The Service also challenged the amount of the improvements, as the taxpayer claimed over $387,000 but had receipts for only half that amount. Taxpayer contended that he included only invoices that exceeded $2000 based on an agreement with the examining agent. As the court noted, it would not be bound by such an agreement, and neither would the Commissioner if the agreement was not authorized. Further, the taxpayer was unable to establish any claim for estoppel. (See n. 5). However, the court also agreed that the Cohan doctrine could be applied, given that taxpayer had a complete list of expenses and check numbers, though not receipts for all items.

Comment: Taxpayer won a substantial victory based on having honest records, albeit incomplete ones, even though he used his corporation's account to make personal payments. Note that putative agreements with the Service may not be respected; taxpayers should beware.

5. Dealer status did not preclude having some property as an investor eligible for capital gains treatment, *Gardner v. Commissioner*, T.C. Memo 2011-137.

Intent of the taxpayer was the key to determining both the character of gain and required capitalized cost associated with real estate. Taxpayer was a self-employed carpenter and contractor who sold 16 parcels of real estate over the course of 26 years. Despite conceding he was a dealer in real property with respect to single-family units, the Tax Court agreed that this taxpayer held some multi-family lots as an investor, not a dealer. The taxpayer had originally purchased five lots for long-term investment purposes, seeking to develop and rent them. However, cost overruns on land improvements caused a financial hardship and a decision by the taxpayer to sell the lots prematurely. Following *Mathews v. Commissioner*, 315 F.2d 101 (6^{th} Cir. 1963), the Tax Court held that a taxpayer may at the same time hold land for both investment and inventory purposes as the treatment of each sale is a question of fact. Here, it was also important for the taxpayer to establish capital gain treatment to avoid the self-employment tax on ordinary income.

The court also reviewed Schedule E expenses related to additional property owned by the taxpayer, including engineering services, interest, and taxes. Taxpayer acquired this property for the purpose of subdividing it into lots and reselling it. In this case, the Court ruled that engineering costs and real estate taxes were required to be capitalized under I.R.C. 263A. However, the interest costs were still deductible, as the taxpayer had not yet begun physical production activity. Mere planning and design did not constitute physical production required to trigger interest capitalization requirements under 263A(f); neither did the storage of vehicles on the property.

Comment: While this taxpayer was successful in establishing the character of property through testimony, it helped that he actually held some multi-family properties and rented them for multiple years.

II. Deductions from Gross Income.

A. Losses.

1. Theft loss deduction allowed for checks written by abusive boyfriend on business accounts, Herrington v. Commissioner, T.C. Memo 2011-73.

Taxpayer was a resident of Louisiana who owned an H&R Block franchise and worked a second job at a prison detention center. She became involved with a man who worked at the H&R Block office, who later moved in with her. Their relationship was "marked by intimidation and physical abuse." This included gun threats and physical violence such as throwing her out of moving cars or boats, particularly if she threatened to leave him. She later opened two sandwich shops for the purpose of operating video poker machines, which provided most of the business profits during 1997 and 1998. Video poker was outlawed in the parish in 1999, ending these businesses and the relationship.

During 1997 and 1998, her boyfriend took charge of the bank accounts for the business and had check-signing authority. Without any express agreement permitting him to do so, he wrote checks to himself totaling $114,000 in 1997 and $96,000 in 1998, which he used to pay personal expenses, including child support. Taxpayer knew this was happening, but was afraid to confront the behavior on account of past violent outbursts. She made an arrangement at the bank to have a friend notify her of checks that would be presented so that she could come down and make a deposit and avoid overdrafts. She had no idea when checks would be written or the amount being drawn beforehand.

As a condition for the video poker licenses, Taxpayer had to submit her tax returns to the state police. Her boyfriend took charge of that, too, and he prepared a tax return that she signed. Unfortunately, the return was never filed. When the police inquired with the IRS concerning these returns, it was discovered that neither 1997 nor 1998 returns had been filed. This led to a criminal investigation and in 2004 Taxpayer pled guilty to willful failure to file returns under section 7203 for 1997 and 1998. Meanwhile, the boyfriend was also under criminal investigation, and he asked for information showing how much he drew from the business so that he could file his own returns. At the boyfriend's urging, she signed an affidavit showing that these amounts were "his total compensation as a consultant to the business."

Taxpayer's returns for 1997 and 1998 treated these payments as deductions, which the Service challenged. Before the Tax Court, she claimed that the payments were deductible under section 162(a) as compensation, or alternatively, as a theft loss under section 165(e). The Tax Court agreed with the latter characterization. As for compensation, there was no intent to compensate, which the court found was a prerequisite to a deduction for compensation. Moreover, the amounts paid had no correlation whatsoever to services actually rendered.

As for the theft loss theory, the Tax Court applied Louisiana law, which required that consent to a taking must involve more than passive assent. Here, any consent was induced by force and threats. For this reason, her failure to report the thefts to authorities was also given little weight.

Comment: As things turned out, this taxpayer may have done better meeting someone at the prison detention center. The passive nature of her behavior may be viewed as assent in some jurisdictions, but Louisiana law proved helpful to the Taxpayer in this regard. Curiously, this taxpayer pled guilty to criminal failure to file a tax return – there must be more behind the story than is reported in the Tax Court's opinion.

2. Potential for recovery prevents finding of loss from an investment, *Hawaii v. Commissioner,* T.C. Memo 2011-134.

In 2005, Taxpayer (Hawaii) was retired and living in Ohio with a $300,000 balance in his IRA. A friend at church approached Hawaii a potential investment opportunity to purchase stock in ProCore Group, Inc., apparently an over-the-counter penny stock). Without reviewing any documentation, Mr. Hawaii invested $100,000 and later $150,000 with a related entity (though no loss was claimed on this second investment). In order to even get his initial stock certificates, he had to hire an attorney who issued a demand letter for the production of stock certificates. In May 2005, a suit had been threatened, but not filed. In 2006 and 2007, all was quiet on the ProCore investment front, until the IRS issued a notice of intent to levy. At the end 2007, Mr. Hawaii filed an amended income tax return with a theft loss of $100,000 that would reduce in his tax liability to less than $25,000 (the threshold needed to qualify for a streamline installment agreement). In 2008 and 2009, Mr. Hawaii filed a complaint with the Ohio Division of Securities and ultimately a lawsuit. However, nothing came of either action.

The Service denied the loss, and the Tax Court sustained the deficiency on the basis that the taxpayer failed to show a reasonable prospect for recovery was not present in the year the loss was sustained. As for a theft loss claim, state law where the loss occurred is controlling in establishing the event as a theft loss. See *Bellis v. Commissioner,* 540 F.2d 448 (9th Cir 1976). Due to lack of evidence, Mr. Hawaii failed to meet the required burden of proof to establish a theft loss.

Comment: Ironically, the complaint Mr. Hawaii filed in 2008 and 2009, which he perhaps thought might help his argument that he incurred a theft loss from fraud, was one of the factors in finding a loss was not sustained in 2005 as a prospect of recovery existed after 2005. Theft losses can be legitimate for an investor defrauded by a dishonest promoter. Recall Rev. Proc. 2009-20 for safe harbor guidance involving theft losses by taxpayer is affected by "Ponzi" scheme.

3. Cooperative housing owner not eligible for casualty loss deduction, Alphonso v. Commissioner, 136 T.C. No 11 (2011).

Taxpayer owned stock in a cooperative housing corporation (see I.R.C. § 216(b)). She leased an apartment in a building owned by the corporation, and pursuant to that lease, had access to certain common areas. In one of those common areas, a retaining wall collapsed, giving rise to an assessment by the corporation to the shareholders. Taxpayer paid $26,390 in satisfaction of that assessment, and she treated $23,188 (reflecting adjustments under sections 165(h)(1) and (2)) as a casualty loss deduction.

The Service disallowed this deduction on the ground that no casualty had occurred, and it also asserted that the deduction properly belongs to the corporation, not to the stockholder. A motion for summary judgment was heard on the latter ground, and the Tax Court agreed with the Service. The Tax Court construed two principal cases, *West v. United States*, 163 F.Supp. 739 (E.D. Pay. 1958) and *Keith v. Commissioner*, 52 T.C. 41 (1969), which had come to different conclusions on the deductibility of assessments for common improvements. However, the Tax Court found that neither of these cases supported the taxpayer's deduction. The taxpayer here did not have a sufficient property interest in the common area including the retaining wall to justify a deduction under section 165. Her lease was for the apartment, and mere access to the common areas was not sufficient to become an easement or other property interest sufficient for a deduction. It also dismissed the taxpayer's alternative argument that she was entitled to a deduction under section 216, as that section allows shareholders only to deduct interest and taxes incurred by the corporation, and not any other types of corporate expenses.

Comment: Cooperative housing is a strange animal. Presumably the assessment should be capitalized in the basis of her stock. Those who represent housing corporations might consider whether, after studying these cases, a lease could be designed in such a way as to provide a deduction. However, other property and liability considerations may gravitate against doing this merely for the purpose of getting a casualty loss deduction (i.e., liability for a dam breach asserted against each tenant, rather than the corporation).

4. Decline in bank account balance is not substantiation of gambling losses, Jones v. Commissioner, T.C. Memo 2011-77.

Taxpayer earned $23,204 in wages in 2006 but also reported income from gambling winnings of $7000, which he received as a recreational gambler who played slot machines in the Chicago area. Taxpayer failed to keep a diary or log of his losses, and he used "player's club" cards infrequently, so that the casinos at which he played claimed not to have any record of his losses. Taxpayer sought to show losses based on the change in his bank account balance, which declined from $7531 to $946.64 during the year. However, the Tax Court rejected this as sufficient proof to substantiate any losses. Although it may apply the *Cohan* rule to estimate expenses in some cases, there must be a satisfactory basis for that estimate.

Comment: A proposal recently circulating among those interested in curbing problem gambling would require casinos to send monthly statements of losses to their patrons. Such statements would have been helpful at tax time for this taxpayer. Records are important in this context.

5. No casualty loss deduction for wrongful death settlement, Pang v. Commissioner, T.C. Memo 2011-55.

Taxpayer struck a pedestrian with his automobile, resulting in a wrongful death lawsuit. The lawsuit was settled through a payment by his insurer for the full policy limits coupled with a payment of $250,000 by the Taxpayer. Taxpayer claimed this payment as casualty loss deduction under section 165(c)(3), which allows noncorporate taxpayers to deduct "losses of property" not connected with a trade or business or activity for profit if such losses arise from a casualty.

At issue before the Tax Court was whether these damages paid on account of the automobile accident constitutes a casualty loss. Under precedents going back to 1928, the tax Court had refused to characterize settlement payments resulting from automobile accidents as casualty losses. Nevertheless, Taxpayers argued that this case should be governed by the dictionary definition of casualty, which according to Webster's includes "[l]osses caused by death, wounds." By this definition, Taxpayer reasoned, the pedestrian certainly experienced a casualty. However, as the court explained, the victim's casualty should not be confused with the Taxpayer's economic loss, which in this case was not caused by damage to their property (i.e., the vehicle), but through a monetary payment. (This also presented a timing problem, as vehicle damage occurred in 2002, whereas the payment occurred in 2004.)

Comment: The settlement amount thus reflects a nondeductible personal expenditure, for which tax benefits are not available. Perhaps this is another reason for clients to examine their policy limits? Query whether it makes policy sense to treat this kind of pecuniary loss differently from other losses affecting the value of personal property.

6. Taxpayer was not a trader for purposes of section 465(f), van der Lee v. Commissioner, T.C. Memo 2011-234.

Taxpayer had been employed by various investment banks as a trader for several years. In 2002, he left his former employer, Merrill Lynch, and started trading for his own account. Between April 15 and December 31, 2002, he engaged in 148 transactions involving stock and options through his Merrill Lynch account, and about 11 transactions through another account at Prudential. By year end, he realized that he lacked the information available to trade successfully on his own, and he then turned to purchasing and selling securities as an investor.

Taxpayer's return preparer reported the trading activities on schedule C, showing a net loss of over $1.3 million, along with various other office, travel, and meals expenses of $91,872. These deductions offset wage income, which totaled $1.48 million. These deductions, as well as others, were disallowed on audit, with the Service asserting that taxpayer was an investor. Accordingly, the losses would be capital in nature and expenses, to the extent allowable, would be itemized deductions.

The Tax Court agreed with the Service. In distinguishing a trader from an investor, factors include the frequency, extent, and regularity of transactions. While an investor derives income from interest, dividends, and capital appreciation, traders benefit from short swings in value. Here, the court found that taxpayer had held the stocks he bought, rather than selling them on the same day. Of the 76 sale transactions during 2002, 35 involved shares he had already owned before 2002. Further, he failed to engage in trading activity with sufficient frequency to qualify as a trader, as he traded only sporadically. Thus, he was not eligible for mark-to-market accounting under section 475(f). This would also affect his expense deductions.

Comment: At $3,000 per year, this Taxpayer will require 463 years to recover these capital losses against ordinary income. A lesson here: pay careful attention to the "trader" definition before you quit your day job.

B. Charitable Deductions.

1. Façade easement deduction not allowable where mortgagee rights prevail over easement holder, Kaufman v. Commissioner, 136 T.C. No. 13 (2011).

After the Tax Court granted summary judgment to the Service on the issue of deductibility of a façade easement by these taxpayers, taxpayers (joined by amicus from several other entities interested in the validity of façade easements) requested reconsideration. In this decision, the Tax Court confirmed its prior judgment. (See *Kaufman v. Commisioner*, 134 T.C. 182 (2010)). Under the applicable regulations, a façade easement must be protected in perpetuity to qualify. See Treas. Reg. § 1.170A-14. When, as here, a bank has a prior claim to the proceeds from the property in the event of any casualty, hazard, accident, or condemnation. That claim was superior to the holder of the easement. The Tax Court stuck to its previous ruling on this issue, and it also addressed a timing issue presented in connection with the deductibility of a cash payment by the taxpayer. Significantly, the taxpayers avoided negligence and valuation penalties on the easement issue, due in significant part to the complexity and novelty of the legal issues presented.

Comment: As noted in last year's program, this may require Congressional action to remediate the apparent flaw in façade deductions for most taxpayers who have mortgaged property. These taxpayers were able to avoid penalties, but now that the issue is resolved, future taxpayers should pay attention to this potential constraint on deductibility. For a similar case in which a mortgage priority disallows a façade deduction, see 1982 East LLC v. Commissioner, T.C. Memo 2011-84. For a case in which the taxpayer successfully established a grant in perpetuity (there being no mortgage), but failed to adequately appraise the value of the easement, see Friedberg v. Commissioner, T.C. Memo 2011-238. A recent case in the D.C. Circuit allowed a taxpayer win where the exclusive use and qualified appraisal requirements were both met. See Commissioner v. Simmons, 646 F.3d 6 (D.C. Cir. 2011).

2. Cats provide companionship and a tax deduction for foster home volunteer, *Van Dusen v. Commissioner*, 136 T.C. No. 25 (2011).

Taxpayer cared for cats (over 70 of them) in her private residence on behalf of a 501(c)(3) organization, Fix Our Ferals. The Service denied a $12,068 charitable contribution deduction for the expenses of caring for the foster cats. The first hurdle taxpayer faced was establishing that her actions were as a volunteer for Fix Our Ferals generated unreimbursed expenses that could be deductible. See Treas. Reg. § 1.170A-1(g). The Court looked to *Smith v. Commissioner*, 60 T.C. 988 (1973), for the elements needed to find such a connection, which include a strong affiliation, direction and control by the charity, and accountability to the charity. Foster care of cats was found to be an important part of Fix Our Ferals' charitable mission; however, reimbursement of expenses for such care was not typically provided to volunteers. The court found that it was proper to consider Fix Our Ferals as the recipient of Taxpayer's foster services due to her frequent and extensive interactions.

The second hurdle was to allocate expenses between personal and charitable activities. As would be expected, the out-of-pocket expenses for the care of over 70 cats were significant including not only food but also veterinary care, cleaning supplies, and utilities. Taxpayer also had 7 pet cats during the year at issue. As direct tracing of pet supplies and veterinary expenses was not possible, the court concluded that a 90% allocation to the foster cats was reasonable. However, only 50% of her cleaning and utility expenses were allowed as the court deemed such an estimate to be conservative enough to exclude any personal expenses.

The last significant hurdle was providing adequate documentation under the recordkeeping requirements of Treas. Reg. §1.170A-13. The court agreed with the conclusion in the instructions to Form 8283, Noncash Charitable Contributions, that unreimbursed expenses should be treated as cash donations and not as property donations as the extra documentation requirements for property donations would not serve any useful purpose. The lower documentation standard for amounts less than $250 was met by taxpayer despite lack of literal compliance. Using the reasoning in *Bond v. Commissioner,* 100 T.C. 32 (1993), the Court concluded the taxpayer only had to meet the spirit of the documentation requirements of Treas. Reg. §1.170A-13. However, due to lack of contemporaneous written acknowledgement from Fix Our Ferals expenses greater than $250 were disallowed.

Comment: This is great news for the animals that benefit from foster care (and their human companions). The case also provides a roadmap for the requirements and documentation needed to secure tax benefits, which under current charitable documentation rules will likely require more attention to detail than was allowed to this taxpayer. Greater recordkeeping burdens and formal relationships with the charity will likely be needed to avoid challenges to such deductions.

3. Donation of development rights to the state not a charitable contribution due to lack of needed documentation, DiDonato v. Commissioner, T.C. Memo 2011-153.

Local government ultimately extracted development rights from the owner in order to settle a property dispute involving access to property held for development. The dispute was settled through an agreement that included a restriction in the development rights associated with the property. Although the owner got a letter from the county thanking him for his "donation" of the development rights, the letter advised that it was his responsibility to determine the value for purposes of income tax deductibility.

The owners claimed a charitable contribution deduction of more than $1.8 million. Form 8283 was attached, along with an appraisal. However, neither the appraiser nor a representative of the county signed the form. The Service disallowed the deduction on the basis that they failed to follow the requirements for donations in kind, and the Tax Court upheld that determination. Here, the letter from the county did not constitute an "acknowledgement" for purposes of compliance with section 170(f)(8). Among other things, the nature of the settlement agreement did not ensure that development rights would indeed be conveyed, as the obligation to "donate" the rights was conditioned on subsequent events. As such, it was not a "contemporaneous written acknowledgement" that a transfer had occurred in 2004.

Comment: Compare the favorable result Consolidated Inv. Group v. Commissioner, T.C. Memo 2009-290 discussed on page 14 in last year's outline, which permitted a substantial tax deduction when an eminent domain proceeding was settled for an amount less than the asking price of the owner. Careful attention to the requirements may produce a win-win situation, which this taxpayer was not able to achieve (at least in 2004). (Let's hope the easement was *indeed conveyed in a later year that remains open and amenable to an amended return or that a protective claim has been filed.)*

C. Business Expenses.

1. Cost limitations for expensing section 179 property, Rev. Proc. 2010-47, 2010-50 I.R.B. 827, modifying and superseding Rev. Proc. 2009-50 and Rev. Proc. 2010-24.

This revenue procedure clarifies some confusion arising out of various statutory provisions affecting inflation-adjusted values for the section 179 deduction. The revenue procedure confirms the impact of the Small Business Jobs Act of 2010, which increased the expensing amount to $500,000 and likewise increased the phase-out figure for property investment to $2 million. This applies for the 2010 and 2011 tax years.

Comment: Another nifty feature of the Jobs Act: qualified real property can be subject to section 179. Note that bonus depreciation of 100% (for property placed in service between September 8, 2010 and before January 1, 2012) may also be available. Tax-wise, it is a good year to make capital expenditures.

2. Section 179 deductions disallowed when airplane not used in trade or business, Tax Practice Management, Inc. v. Commissioner, T.C. Memo 2010-266.

D'Errico formed TPM in 2002 for the purpose of providing training and management services to his tax preparation businesses. However, by January 1, 2005, he no longer owned any of these businesses.

TPM purchased a 2001 Cessna 172S airplane for $137,500, and it took delivery in Nevada on December 23, 2004. The next day, D'Errico piloted the plane on a test flight, and on that trip he met with clients to discuss TPM's fees. On December 29, 2004, TPM entered into a leasing arrangement with another company, and this agreement states that the purpose of the agreement was to "generate revenues to offset TPM's operating costs." TPMs fiscal year ended on April 1, 2005, and the only other use of the airplane involved rental and training flights. TPM took a section 179 deduction for the cost of the airplane, which the Service challenged.

The Tax Court analyzed whether the plane was acquired for use in TPMs trade or business, a prerequisite to a section 179 deduction. Here, TPM contended that its owner, D'Errico, was required to travel between Nevada and California to fulfill TPM's management duties. Moreover, TPM argued that it was necessary to have the airplane to "meet with clients, market TPM's services, and to present an aura of success." The leasing arrangement was only to recoup costs, since D'Errico would not have time to fly during tax season. The Service countered that the plane was acquired while D'Errico was in the process of negotiating for the sale of TPM's clients – his other tax preparation companies. It would have no clients after January 1, 2005. Moreover, the lease itself did not contemplate a profit motive – only the recoupment of a portion of the operating costs for the plane. In this case, the Tax Court disallowed the deduction, finding that the taxpayer had not met its burden of proof. It likewise disallowed the remaining depreciation and operating expenses for the airplane.

Comment: While depreciation deductions are also allowed for assets held for the production of income, the section 179 deduction is tied to a trade or business activity. Here, the language in the lease declaring its purpose to recover operating expenses was clearly not helpful. Self-serving testimony, rather than other more objective evidence, was not able to carry the day for the taxpayer. For a case involving section 179 and an S corporation's airplane, see Douglas, T.C. Memo 2011-214 (discussed infra).

3. Business bad debt deduction allowed for fund manager, Dagres v. Commissioner, 126 T.C. No. 12 (2011).

Taxpayer managed venture capital funds, which were organized as partnerships or limited liability companies. As such, he was a partner or member-manager of those funds. He was also a significant shareholder in a management company, which in 2003 was an S corporation. He earned income primarily from three sources: (1) his salary as an employee of the management company; (2) his distributive share of S corporation net income from management services; and (3) his proportionate share of capital gains – so called "carried interest" associated with successful fund transactions in the funds. As a one-percent shareholder in some of the funds, he also earned investment income. In 2000, his best year, he earned more than $40.6 million from his share of the carried interest from these funds. Thus, he had a personal economic interest in finding good investment leads for the funds he managed.

In 2000, Taxpayer extended a loan to Schrader, a business acquaintance whom Taxpayer thought was an influential and useful contact with regard to internet company investments. Schrader's personal connections, as well as his role in a company that worked with screening internet investment targets, was viewed as highly valuable. However, Schrader's personal wealth had been adversely affected by the bursting Internet bubble. As the value of his own holdings plummeted and his banker's called for more collateral, Schrader turned to Taxpayer for a loan. Taxpayer made a $5 million unsecured loan, with an 8 percent interest rate (vs. the applicable federal rate of 6.15 percent). As part of the deal, it was understood that Schrader would tell Taxpayer first about any new investment opportunities. Taxpayer would profit through the "carried interest" benefit obtained in his investment funds.

Unfortunately, Schrader's situation worsened. He repaid $800,000, but defaulted. Taxpayer wrote the note down to $4 million, but Schrader filed for bankruptcy on December 31, 2002. During 2003, it became clear that Schrader could not pay, and they settled with Schrader paying Taxpayer $364,782 in securities (the stipulated value of Schrader's investments in Taxpayer's venture capital funds) and Taxpayer forgave the balance of the $4 million due. Taxpayer reported his occupation as "Venture Capitalist" on his 2003 tax return. He also included Schedule C, listing his business as "loan and business promotions" and entered code 523900 for "other financial investment activities (including investment advice)". He had no other income to report on Schedule C, but he reported a deduction for "bad debt loss" in the amount of $3,635,218 ($4 million minus the securities received in payment).

At issue was this deduction – which the notice of deficiency characterized as a non-business bad debt subject to the limitations of I.R.C. § 1211. The Service also imposed an accuracy penalty. However, in its answer to the Taxpayer's petition, the Service raised two alternative theories: (1) the deduction is an unreimbursed employee business expense, or (2) that it is an expense for the production of income under I.R.C. § 212(1), both of which would result only in itemized deductions.

The Tax Court cut through these various theories, however, in finding that the taxpayer was engaged in a trade or business (other than an employee), and that the debt was indeed connected with that trade or business. Thus, a bad debt deduction was allowable and the deduction was not restricted as a "nonbusiness bad debt" treated as a short term capital loss or a debt incurred in connection with this trade or business as an employee, which would be deductible only as an employee business expense. Here, the taxpayer was in the business of selling investment expertise, much as one sells legal or medical expertise. He got a return on that expertise that was in addition to that he received as an investor, and thus this situation was distinguished from those cases which hold that investment alone does not constitute a trade or business.

Moreover, the dominant motive here was to protect or enhance his trade or business as a venture capital manager, a role he exercised in his status of a general partner of partnerships or member-manager of an LLC which invested the applicable funds. As the court pointed out, a shareholder's loan for the "dominant purpose" of protect the business of his corporation is a nonbusiness loan, as that is merely protecting an investment. An employee's loan for the dominant purpose of protecting the business of a corporation that employed him would be a business loan, but subject to employee business expense limitations in the event of loss. But here Taxpayer invested for the purpose of protecting his future income from services rendered as fund manager. Although the Service contended that the capital nature of the income earned – i.e., the customary 20% of gains earned in the funds –reflects the payment of an investor, the Tax Court disagreed (noting in passing the "carried interest" tax controversy currently pending in Congress). Moreover, although Taxpayer also held a 1% interest in these funds as an investor, the fact that his compensation would be 20% of gains was sufficient to demonstrate that this "dominant motivation" was to support his business, rather than to enhance an investment return.

Comment: This case shows how receiving compensation through a partnership allows the partner/manager to be engaged in a trade or business, which is distinct from the role of an employee. Teasing out the "dominant motive" in making a loan in this context, where the taxpayer wears many hats, might require Solomon-like wisdom in other contexts, but here the significant compensation benefits enjoyed by fund managers made that issue easier to resolve objectively based on the sheer disparity in money at stake. Note that in this case, even employee-related bad debt deductions would be preferable to the nonbusiness debt treatment under § 1211(b).

4. "Conservative" clothing for television news anchor not deductible, Hamper v. Commissioner, T.C. Summ. Op. 2011-17.

In this Summary Opinion (not to be cited as precedent), a television news anchor sought to deduct various expenditures incurred in connection with her television persona. These included the costs of "conservative" business clothing, which she deemed "unsuitable for everyday wear." Her personal test: "Would I be buying this if I didn't have to wear this [to work]?" However, the court did not buy the test and may have also had some problems with the application of her classification methodology. Some of her "work" purchases included "lounge wear, a robe, sportswear … lingerie, cotton bikini and cotton thong underwear, and evening wear." (Does our morning and noon news anchor really wear these items to work? And if so, do her admiring fans notice?) In any event, the court found that the clothing was "not of a fashion that is outrageous or otherwise unsuitable for everyday personal wear." Expenditures for contact lenses, makeup, and dry cleaning costs were likewise disallowed as nondeductible personal expenses.

Comment: This case suggests that a popular entertainer might be permitted to deduct her dress made of meat but she may not deduct a business suit. Even if the business suit does not suit her public style, it is nevertheless suitable for everyday wear. As for unmentionables, let's just leave those unmentioned, shall we?

5. Police Academy instructor was independent contractor, but deductions still disallowed, Robinson v. Commissioner, T.C. Memo 2011-99

Pro se taxpayers in this case sought to deduct business expenses that were challenged by the Service. H was a part-time instructor at Temple University, a post he held in addition to his full-time position as a professor at another university. H taught courses in a criminal justice training program, which typically involved police officers enrolled in a police academy rather than college students seeking a degree. H was paid an hourly rate for teaching, plus a flat fee for updating the curriculum. H had no responsibility for enrolling students and no economic risks or rewards (other than the above remuneration) associated with teaching. Prior to 2003, H earned more than $35,000 annually from Temple, but during the years at issue the amounts received were only around $5,000. From 1985-1996, Temple treated him as an independent contractor. However, from 1996 on they treated him as an employee and reported his income on Form W-2. Despite this treatment by his employer, H reported the income on schedule C. He also reported considerable deductions – totaling more than $20,000 during the years at issue, for various business expenses, including a home office deduction and various other books (including

As to the employee/independent contractor status, the Service argued that H's position was similar to that of an adjunct professor. However, H argued that his situation was more similar to that of *Reece v. Commissioner*, T.C. Memo 1992-335, in which a full time professor conducting separate corporate seminar services for the university was treated as an independent contractor. The fact that the university could choose to hire him for various programs and contract for payment on that basis, and thus choose not to rehire him for future projects rather than firing him if they were dissatisfied, was apparently important in holding for H.

However, that victory proved short-lived and insubstantial in light of the court's finding that he failed to substantiate the expenses he claimed, some of which did seem beyond the pale of a reasonable claim. (E.g., he deducted several books on midwives on the basis that he taught ethics; People magazine because it covered current events; and a book on Frank Lloyd Write because he was involved in a crime.) None of these were sufficiently connected to his business. (Even a deduction for "Laugh Out Loud Knock-Knock Jokes" was apparently not appropriate, according to the court.) Likewise, his spouse also claimed travel expenses for tourist attractions as a schedule A deduction in connection with her employment. These sites were visited on vacation time with other members of her family. Although her work involved running a tourist attraction, just getting ideas was not a sufficient connection to her trade or business.

Comment: For an instructor at Police Academy, the court should have allowed a deduction for the book on knock-knock jokes, don't you think?

6. Adjunct professor is common law employee, making business expenses itemized deductions, Schramm v. Commissioner, T.C. Memo 2011-212.

An adjunct professor taught from 4-12 online courses in economics each year from 1999-2007 for Nova Southeastern University and was retained on a course-by-course basis. He consulted with the University to request a clarification of his employment status, and the University responded that he was a common law employee, but not a statutory employee, in conformity with an SS-8 ruling obtained from the IRS in 2003 for another adjunct professor. Thereafter, the professor filed his 2006 tax return showing his wages from the university on Schedule C and deducting related expenses, all of which was inconsistent with the University's advice. The Service challenged his employment status and restricted his ability to deduct his expenses Schedule A, subject to the 2% of AGI limitation on miscellaneous itemized deductions. The Tax Court agreed with the commissioner, finding that his situation involved common law employee status based on traditional common law factors.

Comment: The employer had withheld employment taxes, so the only issue here was the deductibility of business expenses. Not only was this result consistent with the position taken by the employer in withholding and paying employment taxes, that employment relationship had also continued for a period of years. This practice of renewal weighed against the taxpayer, despite the fact that he had no long term contract with the university.

7. Construction firm eligible for section 199 deduction, Gibson & Assoc., Inc. v. Commissioner, 136 T.C. No. 10 (2011)

In what may be the first decision addressing the complexities of section 199, the Tax Court considered whether a construction firm that engaged in rehabilitation work on bridges and buildings had "domestic production gross receipts" ("DPGR") for purposes of eligibility for the deduction under section 199. The Service agreed that the work renovated a major component or structural part of real property, but it contested whether that work materially increased the value of real property, substantially prolonged its useful life, or adapted it to new or different use. These latter requirements are imposed under regulations under section 199 governing DPGR.

Expert testimony supported the taxpayer's position in this case, which covered some familiar precedents in the matter of capitalization versus deduction of repairs. In one case, a handrail had been added to comply with the ADA. The Court agreed that this adapted the property to a new or different use, and thus satisfied section 199. As for others, the Court had to address an overarching concern that the projects simply brought the bridge or other item back into an ordinarily efficient operating condition. However, expert testimony by the taxpayer contradicted the expert testimony of the government with regard to the extent of the work done in each case, and as to the protective or life-extending nature of that work. Although there was no specific testimony of whether the dollar value of the property increased in a particular case, there was testimony showing that the value and life extends substantially following renovation.

Comment: In this case, the Government seems to be arguing a position that taxpayers prefer, i.e., these are repairs, not capital expenses. Discussion within the case may prove useful in future repair vs. capitalization cases, and perhaps the Government will even be glad that it lost this battle.

8. Management fees not "ordinary and necessary", Fuhrman v. Commissioner, T.C. Memo 2011-236

Taxpayer owned a trucking business, which was organized into five corporations and a limited liability company, of which he was the sole owner. There were 18-20 employees in one corporation ("Top Line"), but none in the LLC. Each month, Top Line billed the LLC $9,000 for management services, and Taxpayer deducted these fees as "other expenses" on schedule C. However, the IRS disallowed only a portion of these fees, adjusting roughly $60,000 for the 2004 and 2005 tax years.

Taxpayer argued that, by allowing him to deduct a substantial portion of the management fees, the burden of substantiation should be deemed satisfied, thereby shifting to the Commissioner the burden to prove that these expenses are not allowable. However, the Tax Court disagreed, holding that the taxpayer retained the burden of showing that the expenses were ordinary and necessary, which included a component of reasonableness. Here, where related party transactions were involved, reasonableness was particularly important. Following ASAT, Inc. v. Commissioner, 108 T.C. 147 (1997), reasonableness has not been shown where there was no written contract, invoices provided no detail, and there was no evidence of the provider's skills that might warrant the fees.

Although taxpayer sought to show these items through testimony, the Tax Court was not convinced that services were needed. "Indeed, because [the LLC] had no other owners and no employees, it is not apparent with whom at [the LLC] petitioner may have consulted, other than himself." An accuracy penalty applied based on a failure to show reasonable cause or good faith.

Comment: This case should provide notice to those who use related entities that attention to form and economic reality is critical if inter-entity payments are to be respected. See also Weekend Warrior Trailers, Inc. v. Commissioner, T.C. Memo 2011-105 (disallowing management fee deduction between related S corporations).

9. Final regulations involving start-up and organizational costs, T.D. 9542, (August 17, 2011; as corrected September 16, 2011).

Taxpayers incurring organizational or "start-up" expenses incurred after October 22, 2004, may elect to deduction a portion of those costs (up to $5,000, reduced by the amount in which the organizational expenditures exceed $50,000), with the balance amortized over 180 months beginning with the month in which business begins. These regulations affecting sections 195, 248, and 709, provide that a taxpayer is deemed to elect to deduct and/or amortize, if applicable, the remaining balance of these costs. Significantly, the taxpayer must affirmatively elect to forgo the deemed election and to capitalize such expenses. The regulations also provide that the treatment of such costs is a method of accounting if followed for two tax years, thus requiring a request for a change in method of accounting to the extent that expenditures are mischaracterized or the month that business activities begin is redetermined.

Comment: Given monthly amortization, the time when business begins is an important determination.

10. 15-year amortization period for covenant not to compete arising from minority stock acquisition of retiring shareholder, *Recovery Group, Inc. v. Commissioner*, 652 F.3d 122 (9th Cir. 2011).

Edgerly was a founder, employee, and 23% shareholder of Recovery Group, an S Corporation in the business of advising troubled businesses on work-out solutions. Edgerly, who may have been considering retirement, entered into a buyout agreement and 12 month covenant not to compete with Recovery Group in 2002. On its tax returns, Recovery Group amortized the $400,000 covenant over its 12-month term. The Service disallowed these amortization deduction, arguing that the correct amortization period was 15 years under I.R.C. § 197. The Tax Court agreed with the Service, T.C. Memo 2010-76, and this appeal followed.

Section 197(d)(1)(E) includes within the definition of a section 197 intangible "any covenant not to compete…entered into in connection with an acquisition (directly or indirectly) of an interest in a trade or business or substantial portion thereof." (Emphasis added). Does "an interest" cover both stock and asset acquisitions? Is there a substantiality requirement affecting stock, assets, or both?

The Service argued the statute should be read with "substantial" affecting only asset acquostions: "…in connection with an acquisition… of [(1)] an interest in a trade or business or [(2)] [a] substantial portion [of a trade or business]."

Recovery Group argued that the statute should be read more narrowly: "…in connection with an acquisition… of [(1)] [the entire] interest in a trade or business or [(2)] [a] substantial portion [of an interest in a trade or business]."

The court found both readings to be reasonable, and therefore had to look to legislative history in determining it actually should be read as: "…in connection with an acquisition… of [(1)] an interest in a trade or business or [(2)] [a] substantial portion [of assets constituting a trade or business]." Thus, the substantiality requirement of I.R.C. § 197(d)(1)(E) only applied to asset acquisitions and not stock purchases.

Comment: Calculations to determine the after-tax costs of stock buyout agreements that contain a covenant not to compete should be updated for this outcome. The intangible treatment is better than no deduction at all for the redeemed shares. There would appear to be no substantial policy reason to treat a minority stock owner differently from a more "substantial" stock owner. But query: why impose a substantiality requirement in the asset acquisition context?

D. Other.

1. Continued deductibility of bundled fiduciary fees, for now, Notice 2011-37, 2011-20 I.R.B. 785.

On April 14, 2011, (two business days before 2010 tax returns were due), the Service announced that it would extend interim guidance allowing deductibility of so-called "bundled fiduciary fees" without regard to the 2-percent-of-AGI limitation applicable to miscellaneous itemized deductions. This practice will persist for taxable years that "begin before the date that final regulations under § 1.67-4 are published, which are expected to be consistent with the Government's victory in *Knight*, 552 U.S. 181 (2008)."

Comment: My trust-tax guru, John S., tells me that this is good news for calendar-year trusts, which can continue to deduct these fees. Proposed regulations were issued September 7, 2011 [REG -128224-06, 76 Fed. Reg. 55311-01], but have not yet been finalized. A public hearing has been schedules for December 19, 2011.

2. Alimony deduction disallowed where divorce decree is silent as to obligation to make payment after death, Moore v. Commissioner, T.C. Memo 2011-200.

Taxpayer paid some $21 thousand to his ex-wife in settlement of an obligation under the divorce decree that he must pay off the mortgage on their marital home. According to the decree, "Husband's payment of these obligations [i.e., including the mortgage] shall not be taxable to Wife." However, taxpayer treated this payment as alimony, arguing that the language in the divorce decree did not cover the settlement payment. Moreover, taxpayer also argued that Indiana law also required that such an obligation would terminate upon his ex-wife's death. The Service challenged this deduction, alleging that the decree made the payment nondeductible, and even if it did not cover the payment, the taxpayer was obligated to make a payment that would not terminate upon the death of his ex-wife, thereby failing to satisfy the definition of alimony under section 71(b)(1)(D).

The Tax Court held for the Service based on the nature of the obligation to make the payment. Here, when the decree is silent, state law governs. However, "If State law is ambiguous … a federal court will not engage in complex, subjective inquiries under state law; rather, the court will read the divorce instrument and make its own determination based on the language of the document." (Internal quotations omitted.) Here, Indiana law was ambiguous, and the Tax Court found the obligation was not intended to terminate on death. Thus, no deduction was allowed.

Comment: This case reinforces the need to analyze the tax treatment of any proposed settlement involving payments between former spouses incident to divorce. Reliance upon state law is hazardous; draft accordingly.

3. Investment interest deduction not allowed where home loan is secured by stock, Ellington, T.C. Memo 2011-193.

Taxpayers paid $1.578 million for their home in 1997, financed 100 percent by a loan from Merrill Lynch that was secured by both the residence and Intel stock worth about $650K. During 2006 and 2007, taxpayers sought to deduct a portion of the interest on the loan as investment interest. (Presumably this position was based on limitations on the mortgage interest deduction. See I.R.C. section 163(h)). However, the Tax Court ruled against the taxpayers, finding that the use of the borrowed funds, rather than the assets pledged for security, determined whether an investment interest deduction was available. See Temp. Reg. 1.163-8T(c)(1) *Example* (in which car loan secured by stock resulted in personal interest not investment interest). The court also rejected taxpayer's arguments regarding the invalidity of these regulations.

4. You must follow the Code to do an NOL carryforward (DOH!), Hall v. United States, __ Fed. Cl.__, 2011 WL 3455824 (2011).

You know your pro se taxpayer is in trouble when the opinion begins: "Before the Court is a dispute over whether a taxpayer must follow the precise rules of the Internal Revenue Code …." The Halls sought to carry forward NOLS generated during 1988-2002 to their 2003 taxable year. However, the NOLS generated in some of those years could have been carried back and applied to income generated in the two preceding taxable years. Taxpayers failed to elect not to do this by the due date of the return for those taxable years, and their arguments that they should be relieved from following the Code provisions because they "discriminate against less wealthy taxpayers" were dismissed.

Comment: This case may be useful for those seeking to understand the basics of NOL operation – and it serves as a reminder that these rules must be followed carefully. An elections to waive a carryback must be made with the return and this issue should be considered in every year in which an NOL is generated.

5. Service formally abandons position that gender reassignment surgery does not give rise to deductible medical costs, AOD 2011-03, I.R.B. 2011-47.

In *O'Donnabhain v. Commissioner*, 134 T.C. 34 (2010), the Tax Court rejected the Service's position that hormone therapy and gender reassignment surgery were not deductible as medical expenses. The Service has acquiesced and will no longer take the position reflected in CCA 200603025 that such expenditures are not classified as medical expenses.

III. Tax Liability: Credits.

1. Child's purchase of family home from guardian intermediary not eligible for first time homebuyer credit, *Rodriguez v. Commissioner,* T.C. Memo 2011-122.

Conner, a CPA and financial guardian of a disabled child named Emilio, orchestrated a plan whereby he purchased, with funds obtained from settling Emilio's lawsuit, the home of Emilio's parents for the payoff amount of their mortgage. He then sold the home to Emilio. However, the tax court ruled that this was a direct transaction between Emilio and his parents, omitting the intermediary and thereby disqualifying Emilio for the $8,000 first time homebuyer credit.

Comment: The requirement that the taxpayer be 18 years old to qualify was not in effect at the time of the sale to Emilio. However, the form chosen here provides a basis for scrutiny.

2. First time homebuyer credit allowed in 2008 based on state property law, Wood v. Commissioner, 137 T.C. No. 12 (2011).

Taxpayer entered into a contract for deed to purchase a house in 2008 for $75,000. The house required renovations before occupancy, which Taxpayer intended to finance with the $7500 first-time homebuyer credit he would claim on the house under section 36 (as then applicable). He received that credit in February 2009, and began renovations, during which time he was living elsewhere. In August 2009 he received a notice of deficiency denying the credit. He suspended renovations on the house and apparently turned his attentions to litigation.

At issue in the Tax Court was whether he had purchased the home for purposes of federal tax law, and then whether he was eligible because he failed to occupy the home as his principal residence. Here, the property rights that taxpayer acquired must be analyzed under Texas law. Although a contract for deed allows the seller to retain legal title, equitable title and full rights of possession pass to the purchasing party. That retention of bare legal title as a security device did not prevent the Taxpayer from becoming a purchaser under section 36.

Second, the Service also argued that he failed to satisfy the "principal residence" requirement under section 36, claiming that the concept should be applied in the same manner as in section 121. However, the court found that there is no occupancy requirement attached to the credit. A principal residence for purposes of section 36 means the primary dwelling the taxpayer "will occupy" – so that intention, rather than practice, governs the outcome.

Comment: The 2008 version of section 36 functioned as an interest-free loan that would be effectively repaid over the following 15 years, rather than a true credit as would emerge in a later iteration of this provision. However, this clarification as to occupancy may be helpful. At *some point, occupancy would need to occur lest the taxpayer trigger a repayment mechanism in section 36(f).*

3. Taxpayer not entitled to child credits without Form 8332, despite support order, Nixon v. Commissioner, T.C. Memo 2011-249.

Taxpayer was a divorced father with two children. His former wife became the custodial parent, but pursuant to a support order issued in 2002, Taxpayer was eligible to claim the tax exemptions for one of the children during all subsequent years and for the other child during odd numbered years, as long as he was current in child support obligations. Taxpayer was current on those obligations, and thus for the 2007 tax year he claimed the exemptions for both children. However, his former wife refused to sign form 8332 and claimed the exemptions herself. Taxpayer attached to his 2007 return a Form 8332 unsigned by his spouse and disclosed to the IRS that his former wife had claimed the children in violation of the support order.

Unfortunately for Taxpayer, rules are rules. For a noncustodial parent to claim the exemptions for minor children, the requirements of section 152(e) must be met, including the requirement of a declaration by the custodial parent. A recalcitrant former spouse does not excuse the requirement. Without the exemptions, child credits are out, too.

Comment: The Tax Court was "not unsympathetic" and the results here may "seem to work harsh results", but it could not grant relief. The tax law favors the custodial parent in this case, thereby requiring Taxpayer to seek redress from his former spouse in another forum.

4. Solar panels found to be energy property if not providing functions of a roof, PLR 201121005.

Section 48 provides energy tax credits for "energy property" placed in service prior to January 1, 2017. The definition of energy property includes equipment which uses (or produces) solar energy. However, the Service ruled that a taxpayer must exclude from energy property the basis amount of its roof-mounted solar panels that performs the function of a roof.

IV. Payment, Collection, and Litigation Issues.

A. Attorney Fees

1. Persistence is rewarded with § 7430 award, Smith v. United States, 107 AFTR2d 2011-1228, 2011-1 USTC ¶ 50,276 (March 7, 2011)

In this refund case, the District Court ordered the Government to pay some $78,000 in attorney fees and litigation costs incurred in the course of pursuing the taxpayer's refund claim. Taxpayer had filed a refund claim for several tax years, but the Service refused to act on his claims. In 2006, the Service put tax liens on his property, causing Taxpayer to file a collection due process action in the Tax Court, claiming that the liens were improper because the IRS owed him more on the refund claims than the amount of taxes allegedly due. This case was resolved by stipulation, in which the IRS recognized that refund claims existed.

Taxpayer commenced a refund suit in 2009 when the Service continued to refuse to act on his refund claims. In that suit, the Service answered by denying that Taxpayer had filed refund claims, and it also raised other issues, including the statute of limitations, res judicata, and collateral estoppel. Eventually the Service came to its senses and conceded that Taxpayer had overpaid his taxes and that the claim was not time-barred. Judgment was entered for Taxpayer, who then instituted this action for fees and costs under section 7430.

Persistent to the end, the Government argued that the Taxpayer-Plaintiff was not entitled to an award because his net worth exceeded $2 million. However, the court found otherwise and also rejected any arguments that the Government's position was "substantially justified" in this case. The attorney fee award was granted in full at $78,167.02.

Comment: This case reads like a taxpayer's bad dream. Just because you wake up safe and intact in your own bed (and you got your attorney's fees), doesn't mean you will feel rested and refreshed in the morning.

2. Attorney's fees not "incurred" and thus not eligible for award under section 7430 where paid by third party and no obligation to repay proved, Morrison v. Commissioner, T.C. Memo 2011-76.

On remand from the 9th Circuit, the Tax Court considered the narrow factual question of whether a petitioner incurred attorney's fees when he had an agreement with his employer to pay his legal fees. The petitioner here had been successful in prior Tax Court litigation, but the Tax Court had refused an award of attorney's fees because he had not "incurred" them under the meaning of section 7430. The Ninth Circuit reversed, ruling that when a third party who has no direct interest in the litigation pays fees on behalf of a taxpayer, the taxpayer "incurs" the fees so long as he assumes: (1) An absolute obligation to repay the fees, regardless of whether he successfully moves for an award under section 7430; or (2) a contingent obligation to pay the fees in the event that he is able to recover them under section 7430. *Morrison v. Commissioner*, 565 F.3d at 666. The court remanded the case to the Tax Court for the purpose of inquiring as to the precise nature of the agreement between the petitioner and his employer. However, it concluded that the petitioner could not meet his burden to prove that the nature of his relationship involved either of these characteristics. Thus, he did not "incur" attorney's fees and was not eligible for a fee award.

Comment: When there is an arrangement for the corporation to pay legal fees involving the shareholder-employee's tax liability, section 7430 should be considered. From the corporation's perspective, a contingent obligation to repay makes sense if there is any hope for a fee award.

3. Private damages claim under IRC § 7434 not supported by nonfiling of information return, Katzman v. Essex Waterfront Owners, LLC, __ F.3d __, 2011 WL 5252614 (2d Cir. 2011).

A tenant brought a putative class action based on section 7434 of the Code, which grants a private civil action for damages against one who "willfully files a fraudulent information return", against her landlord and others. Section 7434 also allows costs and, in the discretion of the court, attorney's fees, to be awarded. The claim was based on allegations that the landlord collected rent deposits from the tenants, which were supposed to be kept in a bank account and accrue interest. (Instead, they were allegedly used as collateral for a loan to one of the defendants.) Nevertheless, tenant claimed that the interest earned on each of these deposits would exceed $10/year for 2005-2008. Since the landlord failed to send a 1000-INT to the tenants, the tenants claim entitlement to damages under section 7434. The tenants also raised various state law claims.

The Second Circuit held that section 7434, which predicates liability based on willful filing of a fraudulent return, requires that a return actually be filed. Here, the court assumed *arguendo* that a return would have been required (though it cited a 1990 private letter ruling as authority that interest on tenant deposits may be excluded from the information return requirements). Nevertheless, without an affirmative act of filing, the claim could not be sustained. This result was also thought to be confirmed by the legislative history.

Comment: Nice try, but the apparent base for damages here is dubious indeed. Without actual damages, would it have been appropriate to grant recovery of costs and/or attorney fees? Even if such a case survives a 12(b)(6) motion, such a fact pattern may illustrate the wisdom of discretionary fee awards in private recovery statutes.

B. Innocent Spouse

1. The litigation saga ends: no more two year limit on equitable relief, Notice 2011-70, 2011-32 I.R.B. 135.

After years of litigation, including circuit-level victories based on the validity of interpretive regulations in Treas. Reg. 1.6015(f)-5(b)(1), the Service capitulated on the issue of whether the equitable relief provision in I.R.C. § 6015(f) is subject to a two-year statute of limitations. Despite reversals by the Seventh Circuit in *Lantz* (2010), the Third Circuit in *Manella* (2011), and the Fourth Circuit in *Jones* (2011), the Tax Court had continued to stick to its guns in ruling that the two year limitations period could not be applied and that the regulation was invalid as being contrary to the statute. See, e.g., *Pullins v. Commissioner*, 136 T.C. No. 20 (2011). However, following a letter by democrat representatives from the House, Commissioner Shulman agreed to study the matter, ultimately resulting in a reversal of its litigating position.

According to the notice, pending requests for relief will be considered even if the request was submitted more than two years after the first collection activity was taken, as long as the applicable limitations period under section 6502 or 6511 was open. If a claim had been denied for untimeliness, it may be resubmitted if the limitation period on collection remains open. For claims denied in litigation and where the litigation is final, the Service will follow any stipulations in the proceeding and will not seek to collect any portion of the liability for which relief would have been granted. However, no refunds or credits will be available if collection had already occurred.

Comment: This may have been a case where reversal of a winning position occurred in the face of prospects for a statutory change. Unfortunately, this policy change came at the expense of considerable litigation costs by taxpayers and the government. For those following the Chevron deference issues in the omitted income regulations, see Judge Ambro's dissent in Manella – where he would require the agency to articulate the reasons for its position, claiming that borrowing those reasons from the decision in Lantz injects the court's own reasoning and views instead of deferring to the politically accountable branch.

2. Gambler's husband entitled to innocent spouse relief due to attorney misconduct, Harbin v. Commissioner, 137 T.C. No. 7 (2011).

H and W filed joint tax returns during 1999 and 2000, which included gambling winnings and losses for W that were based on diaries that W kept regarding her gambling activities. H reviewed W's diaries before the returns were filed, and he had no reason to know that they were inaccurate, which was discovered during an audit in 2001. H relied upon W and their counsel, Caldwell, who represented both of them in the Tax Court. The Tax Court rendered an adverse decision to the taxpayers, which became final on June 19, 2005.

While the Tax Court case was pending, Caldwell also represented the couple in their divorce. (Yes, he represented both of them.) Caldwell did not explain that this involved a conflict of interest, and he did not receive a waiver from H. On May 7, 2007, H filed a petition under section 6015 for innocent spouse relief. The Service denied this petition, basing their denial on section 6015(b). After litigation before the Tax Court, which included permission to amend the basis for relief to sections 6015(c) and (f), the Service raised for the first time a claim for summary judgment based on 6015(g)(2) and *res judicata*, alleging that H "participated meaningfully" in the prior deficiency case and should thus be barred from relief.

The Tax Court ruled against the Service, concluding that the common law doctrine of *res judicata* is constrained by the requirements of 6015(g)(2). Here, innocent spouse relief was not litigated in the prior proceeding, and based on the totality of the facts and circumstances, the court concluded that H had not materially participated in the litigation.

Here, H's participation was limited to his representation by Caldwell, who had a conflict of interest on account of his representation of W. Although H had a viable claim for relief under 6015(b), that claim was adverse to W's interest with regard to the deficiencies. H was not informed of his opportunity to raise a claim for relief during the Tax Court proceedings, and thus he did not do so. In this context, the failure to request relief before the Tax Court in the earlier proceeding would not bar him from requesting such relief later.

Comment: This case may illustrate the need for continuing education credits in professional responsibility. Analysis of potential claims for innocent spouse relief would appear to be warranted when pursuing joint litigation before the Tax Court. Compare Beach, T.C. Memo 2011-218, where meaningful participation in prior proceedings barred innocent spouse relief.

3. No equitable relief for spouse that benefitted from unreported income, Karam v. Commissioner, T.C. Memo 2011-230.

W sought innocent spouse relief under 6015(f) to avoid outstanding tax obligations arising from income from H's dental practice, which was reported on returns (some of which were filed late) but for which liabilities remained unpaid. The Tax Court rejected this petition for relief, noting among other things that H and W continued to be married, W had a six-figure income and failed to prove that she would suffer economic hardship based on the failure to cover reasonable basic living expenses, and that she had reason to know that H was not paying the taxes and she had benefitted from that income.

Comment: In this case, W also obtained a $150K malpractice judgment against the firm who prepared their tax returns based on its failure to advise her of the effects of filing a joint return. Return preparers should take note of that risk and be sure to explain the consequences of filing a joint return where an unpaid balance is shown.

4. Relief granted where spouse separated from taxpayer before return was filed and had no actual knowledge of contents of return, Pounds v. Commissioner, T.C. Memo 2011-202.

W sought innocent spouse relief in connection with at 2004 tax deficiency associated with H's business, in which she was employed as a secretary. W had no knolege of the financial position of the company. She was not involved in bookkeeping, as that was the province of H's stepmother. W had a "tumultuous" relationship with H, causing her to move out of their home in May 2004, about one year after they were married. However, despite a protective order and various complaints with the police department, they maintained an on and off relationship. Finally, in March 2005, W legally separated from H. They were divorced October 13, 2005, and W signed the 2004 return four days later, not knowing the contents. After audit disclosed substantial income tax due, W sought relief. H intervened to contest that relief, alleging that W had "reason to know" of the basis for the deficiency, but the Tax Court found that W lacked actual knowledge when she signed the return and that relief was appropriate.

Comment: For another "actual knowledge" case in which husband successfully claimed innocent spouse protection concerning his then-wife's retirement account distribution, see Richard v. Commissioner, T.C. Memo 2011-144.

C. Validity of Regulations.

1. A little Mayo with that Chevron? Or do you prefer Brand X? , Carpenter Family Investments, LLC, 136 T.C. No. 17 (2011)

This partnership tax case involves the application of the six-year limitations period for a significant omission of income under sections 6629(c)(2) and 6501(e)(1)(A). In 1999, the partnership had engaged in a "son-of-boss" type of transaction, which had significantly reduced the net capital gain reported in connection with a sale of stock in 2000. The three-year limitations period of I.R.C. § 6501(a) would have expired on October 15, 2004. However, a FPAA was not issued until April 10, 2007, which was within a six-year period, but beyond the three-year period. Taxpayer also signed consents to extend the limitation period, but this was not done until after the three-year period had expired.

On September 24, 2009, the Treasury issued temporary regulations clarifying that an overstatement of basis in connection with the sale of property constitutes an omission from gross income for purposes of sections 6629(c)(2) and 6501(e)(1)(A), and that such rules applied "to taxable years with respect to which the applicable period for assessing tax did not expire before September 24, 2009." The Service sought to apply these regulations to the taxpayers, apparently based on the fact that the taxpayer had effectively extended the statute and on its belief that the "applicable period" constitutes the six-year statute, not the three-year general statute.

However, the Tax Court invalidated the temporary regulations in *Intermountain Ins. Serv. v. Commissioner*, 134 T.C. 211 (2010). Further complicating the matter, the Treasury issued final regulations and the Supreme Court issued its opinion in *Mayo Foundation*, 562 U.S. __ (2011) (discussed above), concluding that Treasury regulations were entitled to *Chevron* deference. This litigation ensued to ascertain whether summary judgment should be granted to the taxpayer.

In looking at the final regulations, the Tax Court concluded that they suffered from similar flaws that afflicted the temporary regulations. The Treasury had attempted to overturn the effect of *Intermountain* by changing the language in those regulations:

> Before: "*The rules of this section apply to taxable years with respect to which the applicable period for assessing tax did not expire before September 24, 2009.*"
> After: "*This section applies to taxable years with respect to which the period for assessing tax was open on or after September 24, 2009.*"

The court found this semantic change did not address the underlying problem: whether the applicable limitation period was three or six years.

In *Intermountain*, the Tax Court had concluded that the Supreme Court's decision in *Colony Inc. v. Commissioner*, 357 U.S. 28 (1958), which had interpreted a predecessor statute to exclude an overstatement of basis from an omission from gross income, governed the interpretation of section 6501(e)(1)(A). The Service attempted to distinguish *Colony* on the ground that it was limited to the context of gross income from a trade or business, but the Tax Court would have none of that. In fact, it noted that the Ninth Circuit in *Bakersfield Energy Partners* (9th Cir. 2009) to which an appeal would lie, agreed with its interpretation, as would other courts, including *Salman Ranch, Ltd.* (Fed. Cir. 2009), *Home Concrete & Supply (*4th Cir. 2011), *Burks v. United States* (5th Cir. 2011). Only the 7th Circuit in *Beard v. Commisioner*, 633 F.3d 616, 620 (7th Cir. 2011), would agree to limit *Colony* to the trade or business context.

Significantly, the Tax Court pointed out that agency deference may be appropriate when interpreting a statute, but deference to agency expertise does not extend to its interpretations of case law: "When Congress speaks in muffled tones, the Commissioner presumably enjoys an advantage in deciphering the message. And though we are respectful of the Commissioner's experience in reviewing court opinions, we decline to surrender our prerogative of interpreting judicial pronouncements – ambiguous or otherwise."

Even if *Colony* governs the interpretation of the statute, the question whether the agency could promulgate regulations to change that interpretation remains an important and still unresolved issue. In *National Cable & Telecommunications Ass'n v. Brand X Internet Services*, 545 U.S. 967 (2005), the Supreme Court recognized that an interpretation by a court of appeals does not necessarily prevent an agency from adopting a different interpretation of an ambiguous statute. However, as Justice Stevens pointed out in a concurring opinion, agency discretion might be constrained if the Supreme Court had resolved any pre-existing ambiguity. (Id. at 1004). At least one court of appeals has disagreed with Stevens' view, suggesting that agency discretion extends even where the Supreme Court has spoken, if there is a reasonable basis for changing the agency's position. See *Hernandez-Carrera v. Carlson*, 547 F.3d 1237, 1248 (10th Cir. 2008).

Although *Mayo Found. v. United States*, 131 S.Ct. 704 (2011), required *Chevron* deference to Treasury regulations, nothing in *Mayo* resolves the issue of whether a Supreme Court interpretation can be changed by the agency. (Nevertheless, the court seems to reject a view that *Mayo* restricts a court from viewing the legislative history in interpreting a statute in the first stage of a *Chevron* analysis – a point that is potentially significant.) Ultimately, the Tax Court chose to dodge this "ordeal of walking the plank and plumbing the depths of *Brand X*," since in its view, the Treasury was not sufficiently specific in articulating the basis for adopting the regulations, stating in part:

> "It will not do for a court to be compelled to guess at the theory underlying the agency's action". *SEC v. Chenery Corp., supra* at 196–197. Even if we read the Supreme Court's recent *Mayo* opinion as a license to categorize most judicial constructions that discuss legislative history as *Chevron* step two decisions, respondent has yet to unabashedly accept the Court of Appeals for the Ninth Circuit's invitation and issue regulations that unequivocally repudiate the *Colony* holding. Unless and until he does so, his hands must remain tied. Consequently, his discretion in interpreting section 6501(e)(1)(A), howsoever noble and worthy of deference, must remain circumscribed.

Id. at 12 (footnote omitted).

Comments: The complexities of appropriate deference to agency interpretation are evident in the majority opinion, as well as in the concurring opinions in this case. Not all of the judges agreed with the majority's method of resolving the case based on Chenery. *As one pointed out, the preamble to the final regulations cited the only circuit case that took the position that the agency interpretation could trump even a Supreme Court interpretation. However, all agreed on the result. Concurring opinions appear to base their decision on the position that the statute is not ambiguous, thus leaving no room for the agency interpretation. Stay tuned as this issue continues to work its way through the Supreme Court, infra.*

2. Supreme Court agrees to review whether an overstatement in basis constitutes an omission extending the statute of limitations, United States v. Home Concrete & Supply, 634 F.3d 249 (4th Circuit 2011), cert. granted, 9/27/11).

This case will presumably address whether a six-year limitations period applies on account of an omission from gross income resulting from an overstatement of basis, as well as the force and effect of Treasury regulations promulgating the Service's view that overstatement of basis is an omission for this purpose, the complexities of which were explored in the Tax Court's decision in *Carpenter Family*, above. Other similar circuit-level cases include *Beard v. Commissioner*, 633 F.3d 616 (7th Cir. 2011), *United States v. Burks*, 633 F.3d 347 (5th Cir. 2011), *Grapevine Imports, Ltd. v. United States*, 636 F.3d 1368 (Fed. Cir. 2011).

D. Statute of limitations.

1. Untimely whistleblower petition denied, Friedland v. Commissioner, T.C. Memo 2011-217.

Whistleblower filed a claim (Form 211) with the IRS Whistleblower Office on January 24, 2011. By letter dated March 3, 2011, the Whistleblower Office denied his claim. Additional letters mailed on March 23 and April 11 affirmed the denial, and further denied a request for redetermination. On April 12, 2011, the whistleblower filed a petition in the tax court appealing the denial of his award. The Tax Court held the petition is untimely, as it must be filed within thirty days of the date a final administrative determination was made. Here, that constitutes the date the Service's letter was posted to the whistleblower's last known address.

Comment: This 30 day window is short, leaving little room for error by disaffected whistleblowers. Also noted in this case: even if the IRS had steered him wrong about filing an appeal, that would not change the statutory basis for jurisdiction, which is lacking here.

2. Statute of limitations for refund claim not tolled by Form 872, Brach v. United States, __ Fed. Cl. __, 2011 WL 814439 (March 9, 2011).

Taxpayer won $6 million in the New York lottery in 1990, payable in twenty annual installments of $285,715, less annual tax withholding that included $80,000 in annual federal tax payments. Despite this stupendous luck, taxpayer fell on hard times and filed for bankruptcy in 1998. During the pendency of the bankruptcy case, on September 2, 2005, plaintiff filed tax returns for the 1999-2005 tax years, which had not been previously filed. These returns showed more than $375,000 in overpayments attributable to the 1999 and 2000 tax years, which the taxpayer applied to taxes due in subsequent years, resulting in a net overpayment of $354,514 as of the end of 2004, of which the taxpayer requested a refund. In November 2005, the Service denied a refund to the taxpayer pursuant to I.R.C. § 6511(a), on the ground that they were filed more than three years after the date of payment. In June 2007, the Service imposed a lien on taxpayer's property for over $32,000 in unpaid taxes and penalties for 2001-2004. Following the close of the bankruptcy case, the Service resumed the examination of the 1999-2004 tax years.

In July 2008, the taxpayer's accountant (under power of attorney) signed Form 872 ("Consent to Extend time to Assess Tax"), purportedly to give the IRS adequate time to process examination reports which were as yet incomplete. That form included a clause that stated taxpayer "may file a claim for credit or refund and the [Service] may credit or refund the tax within 6 months after this agreement ends."

In August 2008, the taxpayer met with an IRS examiner, and they executed a series of Forms 4549 (Income Tax Examination Changes) affecting all years except 2001. The forms included the amount of refund potentially due to the taxpayer, and in 2004, this amount totaled $358,774 – more than the original refund amount claimed by the taxpayer. Each form included language to the effect that "this report is subject to acceptance by the Area Director [and other IRS superiors]." On September 29, 2008, the Service informed the taxpayer that his refunds were forfeited due to the statute of limitations. In fact, the taxpayer owed additional taxes which were as yet unpaid. This suit was filed in 2010 to compel a refund.

The Court of Federal Claims granted summary judgment to the government. First, it agreed that the court was without jurisdiction to consider the refund claim for the 1999 and 2000 tax years, as they are time barred under section 6532(a), which requires a complaint to be filed within two years of the date the Service disallows a claim for refund. Although taxpayer had argued that the two-year limitation period was extended by written agreement on account of executing Form 872 in 2008, that Form had not been executed until after the refund period had expired in November 2007. Mere consideration by the Service of the Taxpayer's claim cannot extend the limitations period. See I.R.C. § 6532(a)(4).

Taxpayer had also alleged that the statute of limitations under section 6511 should have been tolled due to a mental disability from 2002-2005. However, the court found that even if a disability had existed, it would only toll the period for filing under section 6511, but it would not toll the time for filing suit under section 6532(a).
As for the other taxable years, claims for refund there were precluded by the "full payment" rule under the Tucker Act. If the taxpayer fails to pay the taxes assessed during those years, the claims court lacks subject matter jurisdiction. Here, although taxpayer had overpayments from 1999 and 2000 that would have more than covered any amounts due, they could not be carried forward to cover future liabilities due to the statute of limitations. The court refused to apply the "account stated" exception in this case, finding no definitive and final agreement to refund the amounts due.

Comment: This taxpayer undoubtedly feels unjustly treated, as he in fact overpaid his taxes by more than $350K. As Justice Holmes once remarked, "Men must turn square corners when they deal with the government." Rock Island A. & L.R. Co. v. United States, 254 U.S. 141, 143 (1920). The statute of limitations gives repose to the government but not to the citizen in this case, despite ambiguous language in Form 872. This case provides an important lesson for all of us who represent taxpayers: pay attention to the statutes of limitation always, everywhere. Form 907 is available to extend the refund statute; Form 872 is simply not good enough in this case, particularly where the proverbial horse has already left the barn due to the expiration of *the statute at the time it had been executed. (See also CCA 201110011 (10/28/10) (Appeals must consider not only § 6532 but also must consider § 6514 in allowing a refund claim; no claim is to be allowed when period for filing refund suit has expired. There is no "mercy" or discretionary justice allowed when the law favors the government.)*

3. Closed years vulnerable to tax recalculations in connection with refund claim, R.H. Donnelley Corp. v. United States, 641 F.3d 70 (4th Cir. 2011).

Taxpayer had filed refund claims for the 1991 and 1992 tax years, which were based on carrying back excess foreign tax credits and research credits that were incurred in 1994, which together totaled more than $11 million. Two days after the claims were filed, the statute of limitations for assessment in the 1994 tax year closed. The IRS audited the 1994 tax year and discovered a deficiency of over $43 million due to the fact that a large deduction, unrelated to the credits giving rise to the refund claim. However, the IRS did not assess any additional taxes, since the statute had closed. Not to be completely outdone, however, it determined that there were no excess credits to carry back to 1991 and 1992, and thus disallowed the refund claims. The District Court agreed with the IRS on this point (684 F.Supp. 2d 672 (E.D.N.C. 2010)), and the Fourth Circuit affirmed.

The Fourth Circuit opinion is based on the familiar principle that a refund case depends on proving an "overpayment" and that determination involves the entire tax liability. While the IRS cannot collect a deficiency for a closed year, it may retain payments already received that do not exceed the amount which might have been due. Thus, it rejected the taxpayer's position that it might only modify the 1991 and 1992 liabilities as a basis for rejected the refund claim. Although the Service could not properly reject 1991 and 1992 refunds based on the fact that the taxpayer had owed money in a prior taxable year (i.e., 1989), the Fourth Circuit viewed 1994 as fair game for further inquiry. As the court explained, "expiration of the statute of limitations does extinguish potential liability in the sense that the taxpayer has no obligation to pay any additional taxes that the IRS tries to *collect*. … But [this] does not stand for the proposition that the IRS may not re-examine tax years intertwined with a claim for a *refund*."

4. Neither snow, nor rain, nor earthquake tolls the statute!, www. Taxcourt.gov (Aug. 25, 2011).

Despite the fact that the United States Tax Court headquarters in Washington, D.C. was closed on August 24, 2011, the court announced that taxpayers with petitions due had no excuse for not filing them by mail or by e-file.

Comment: "The earthquake closed your court building" does sound a lot better than "the dog ate my petition", but apparently neither excuse will carry the day.

5. Check miscoded by bank does not constitute payment or provide basis for relief, United States v. Zarra, __ F.Supp. 2d __, 2011 WL 3810042 (W.D. Pa. 2011).

The Zarras attempted to pay their 1999 federal income taxes with a check to the Treasury in the amount of $179,501. Their account contained sufficient funds, but due to a coding error, the bank only paid the IRS $179.50. The Zarras discovered the mistake in the May 2000 bank statement, and Mrs. Zarra contacted the IRS twice seeking to correct the error. The IRS sent the Zarras a notice in September 2000 demanding payment plus interest and penalties. In response, the Zarras contacted the IRS a third time, but they were not able to correct the error.

Assessments were made for the tax, penalties and interest in 2000, but the financial condition of the Zarras had deteriorated. A collection action later ensued, and as of March 7, 2011, the government asserted that the Zarras owed $364,424 including interest and penalties.

The Zarras sought to defend this collection action based on various theories, including (1) the check constituted payment; (2) laches bars the government from pursing this claim; and (3) equitable estoppels. None of these theories carried the day. Although the Zarras argued that state law may have allowed the IRS to recover from the bank, the matter of third party liability did not satisfy their payment obligation. Indeed, even a certified check that is dishonored, in which the bank becomes liable to the government, does not constitute payment. See I.R.C. § 6311(c). Here, whatever the state law provision governing the liability of banks for a miscoded check, the obligation of the taxpayer to make a payment is a matter of federal law. The government's claims in this area are not barred by laches, and not even these circumstances could constitute reasonable cause for their nonpayment. Penalties thus were sustained.

Comment: One has some sympathy for the taxpayer who tried to get this matter corrected, but could not do so. However, this case illustrates the substantial obligation on behalf of a taxpayer to make a timely payment of tax obligations, which is not excused by the errors of others in the payment chain (which are exceedingly rare). A more interesting question not clearly addressed in this case is whether a coding error would have provided a basis for penalty relief if the payment had been promptly corrected by the taxpayer.

E. Other.

1. Day trading losses a "dissipation" of assets by delinquent taxpayer that justifies rejection of OIC, Tucker v. Commissioner, T.C. Memo 2011-67.

Taxpayer had filed tax returns for the 1999-2003 tax years (some of which were filed late), which showed an aggregate tax liability of $24,310 in excess of his withholding credits. Returns for the 1999-2002 years were filed in 2003, while the 1999 return and the 2003 return were both filed in 2004. With interest and penalties, the total due had reached about $35,000 in 2004. Taxpayer began to negotiate with the government, originally offering installment payments totaling $6,000 as an offer in compromise. However, the Service rejected this offer.

In 2005, when his liability had grown to about $37,000, Taxpayer submitted a new offer in compromise for the payment of $36,772 in 116 monthly installments of $317. The offer was $1 more per month than the IRS settlement officer had concluded that he could afford to pay based on his financial information. However, it was an offer in compromise, which would fix his liability, rather than a partial payment offer, which could be revisited in two years based on taxpayer's then-applicable income level. Thus, the settlement officer rejected this offer, stating that it was not in the Government's interest to accept an offer in compromise (instead of a partial payment) when more than five years remained on the collection statute.

Following more wrangling, the Taxpayer reached the Tax Court to challenge a supplemental determination by the Service that further justified its rejection of the offer in compromise, based in part on the additional fact that the 2003 stock sales constituted "dissipated assets" that could be considered in determining the taxpayer's ability to pay his debt.

The Tax Court granted summary judgment in favor of the Service, reasoning that the settlement officer had discretion to consider the dissipated assets in determining whether the taxpayer had the ability to pay, and confirming that these sales did indeed constitute dissipated assets. In this case, the Taxpayer had deposited funds in his trading account in January 2003, before he had filed his delinquent returns for 1999-2001, but after the due date had passed and the liabilities were due. In two months time, he managed to lose almost $23,000 through margin trading and high-volume trades (including almost $700,000 in sales for one day). His professed good intentions to make money in order to pay his taxes were unavailing. Had he used the $23,000 he lost on living expenses, the assets would not be considered dissipated, but the losses here were speculative and his chances of success were further undermined by inexperience. Thus, the court determined that it was appropriate to treat an amount equal to his then-extant liabilities for 1999-2001 (about $14,000) as dissipated for purposes of computing his ability to pay. The Service added this amount to the total proposed installments, and since this total exceeded his taxes due, it was no abuse of discretion to reject the offer.

Comment: It seems that the Taxpayer here was treated similarly to one who gambled away the assets, given that day-trading was effectively not respected as a legitimate profit-seeking venture in this context. Lesson: Don't gamble with money that belongs to your Government partner.

2. The IRS is not a suitable licensee for a radio station(!), United States v. Corry Communications, (W.D. Pa., September 30, 2011).

Corry Communications owed the IRS more than $200,000 in unpaid taxes in 2001. The Government filed and attached tax liens to all its assets, including two broadcast licenses to operate radio stations. One of these was sold to Mercyhurst College on March 30, 2005, following approval of the transfer by the FCC on February 18, 2005. The following day, the Government sent Mercyhurst a notice that the license was subject to federal tax liens.

The Government sought to foreclose on its lien in order to recover unpaid taxes. However, Mercyhurst resisted on the ground that FCC policy precluded security interests in broadcast licenses, but allowed them only in the proceeds of the sale of a license. The district court agreed, explaining that the FCC policy protects a public right, and this rule ensures that the FCC's authority to approve transfers is sustained. Otherwise, a creditor could get hold of an operating radio station – which would violate that policy.

Comment: North East, PA listeners to WYNE radio (during daylight hours, only) were probably relieved to know that "Erie radio veteran Captain Dan Geary" will continue to play "the best oldies of the 50s, 60s, and 70s", instead of the poor Revenue Agent who might have gotten this assignment.

3. Tax debts not dischargeable in bankruptcy where taxpayer willfully evades payment obligation, United States v. Coney (E.D. La. March 22, 2011).

Taxpayer was an attorney who was convicted of structuring financial transactions to evade federal currency reporting statutes. Following this conviction, he was suspended and ultimately disbarred in 2005. Adding further trouble to his life, the Government sought to collect a $3 million assessment for unpaid income taxes, including penalties and interest. Taxpayer had filed tax returns, but failed to pay the amounts due. Taxpayer subsequently filed for bankruptcy protection, and the bankruptcy court entered a discharge order in 2006. However, that discharge order did not address the unpaid taxes, which became the subject of this suit by the Government.

The Government alleged that the unpaid tax liabilities are not dischargeable under 11 U.S.C. § 523(a)(1)(C). Unlike penalties and interest, which can be discharged, the unpaid taxes are not discharged where "the debtor made a fraudulent return or willfully attempted in any manner to evade or defeat such tax." *Id.* The Government's case depends on showing willfulness, which the court explained did not require a showing of bad motive, such as an intention to defraud the government, but only required that the action took place knowingly and intentionally. Actions taken in subjective good faith could still be willful for purposes of this statute, as in the case of a gambler who sought to win enough to pay his tax liability. *See In re Long*, 419 B.R. 884, 888-90 (Bankr. M.D. Fla. 2009). In this case, the Government sought to base the willfulness requirement on the conduct of the Taxpayer underlying his conviction, i.e., structuring cash transactions to hide them from the IRS and attempting to influence a witness before a grand jury to cover up that crime. The court agreed that this was sufficient. Taxpayer here was not in the same position as a debtor who "honestly and diligently filed his tax returns, but … used his income to pay his personal and business debts rather than his tax liability." Thus, their taxes would not be discharged.

Comment: As also shown in the Tucker case, discussed above, a taxpayer may allege subjective good intentions, but if the behavior is adverse to the interests of the Government in collecting unpaid tax liability, relief may not be available. In this case, the Government continued to pursue this litigation despite the death of the attorney -- it substituted his wife as Executrix of his estate and continued to go after these unpaid tax liabilities.

4. Taxpayer standing denied based on state tax credit approach to funding scholarships that included religious schools, Arizona Christian School Tuition Org. v Winn, 131 S.Ct. 1436 (2011).

In this 5-4 decision, taxpayers who sought to challenge an Arizona state law that provides tax credits for private contribution to school tuition organizations, some of which provide benefits only to religious schools, under the Establishment Clause. However, the Court ruled (over a vigorous dissent including new Justices Sotomayor and Kagan) that the taxpayers lacked standing in this case. Where credits are involved, rather than a direct expenditure, there is neither a direct harm nor a cost that is sufficient to constitute an injury in fact for Article III standing purposes. Here, the credits help to fund education, which is a major part of the state government's burden. The tax credits thus may not cause any financial loss to the state. Even if such a loss could be determined, the injury in fact to a taxpayer would be speculative, requiring a determination that the legislature would pass along shortfalls created by the credit, or that if the credit would be enjoyed, they would return the money to taxpayers. This speculation is inconsistent with the separation of powers underlying Article III requirement for an injury in fact.

A majority of the Court also rejected *Flast v. Cohen*, which allowed an establishment challenge to direct expenditures for textbooks that benefitted religious schools, as supportive of standing in this context. It noted that *Flast* and its progeny have required a government outlay, which was not the case where a tax credit is provided. (Scalia and Thomas find Flast to be a wild hare, which should be rejected in any event). Nevertheless, the majority reasons that when a tax credit is provided to citizens who give to these scholarship funds, the other citizens continue to retain control over their funds and may act according to their consciences. No one is forcing them to violate their consciences by giving. Unlike a governmental expenditure of funds collected from taxpayers, the credit approach permits private action without state intervention. Significantly, the Court rejected the argument that tax credits are essentially equivalent to transfers from the government to sectarian organizations, noting that such a position "assumes that income should be treated as if it were government property even if has not come into the tax collector's hands."

> The Court also justified its restrained approach to standing on these prudential grounds: "Few exercises of the judicial power are more likely to undermine public confidence in the neutrality and integrity of the Judiciary than one which casts the Court in the role of a Council of Revision, conferring on itself the power to invalidate laws at the behest of anyone who disagrees with them. In an era of frequent litigation, class actions, sweeping injunctions with prospective effect, and continuing jurisdiction to enforce judicial remedies, courts must be more careful to insist on the formal rules of standing, not less so."

Comment: The dissent's approach embraces the view that tax credits are indistinguishable from a subsidy or other government spending, and that giving a tax credit somehow spends other people's money. But doesn't that view presuppose, as the majority notes, that the money belongs to the Government in the first place? And where is the limit to this kind of thinking? If it potentially violates the Establishment Clause to benefit religious institutions through a tax credit, then what about granting tax deductions for charitable contributions to the same? Note that such an approach toward expanding taxpayer standing would enhance the Court's role as arbiter in these matters, to the detriment of the politically accountable branch.

5. Expert report may be excluded under Daubert, regardless of stipulation that report is "qualified", Boltar LLC v. Commissioner, 136 T.C. No. 14 (2011).

In this case involving the valuation of a conservation easement, the Service sought to exclude the taxpayer's expert report as unreliable and irrelevant under FRE 702 and Daubert v. Merrell Dow Pharm., Inc., 509 U.S. 579 (1993). Despite the fact that the Service had stipulated that the taxpayer's expert was "qualified" (see Rule 143(g)), the court determined that it was not compelled to grant evidentiary weight to the conclusions in their report. Here, the court refused to admit the report, which it found lacking in credibility. As the court observed,

> "Justice is frequently portrayed as blindfolded to symbolize impartiality, but we need not blindly admit absurd expert opinions. For these reasons, excluding unreliable and irrelevant evidence, rather than receiving it "for what it is worth" and then rejecting it or giving it no weight, serves several purposes."

The fact that this was not a jury trial, and thus there was no possibility that a lay juror might be confused by the expert testimony, was not a basis for letting the report into evidence. Thus, the taxpayer was left without evidentiary support of his valuation position, and thus was not able to sustain his position.

Comments: The court seems to sum up its perceptions about a common problem with expert testimony: "In most cases, as in this one, there is no dispute about the qualifications of the appraisers. The problem is created by their willingness to use their resumes and their skills to advocate the position of the party who employs them without regard to objective and relevant facts, contrary to their professional obligations."

6. Tax Court lacks jurisdiction over overpayment interest claims, Sunoco, Inc. v. Commissioner, _F.3d _ (3d Cir. 2011), 2011 WL 4638774.

The Tax Court is a court of limited jurisdiction, and the parameters of that jurisdictional reach over overpayment interest were delineated in this case involving Sunoco. Sunoco is a corporation under continuous audit, and thus has many open tax years. In some of those years, Sunoco may have a deficiency; in others, it may have an overpayment. Generally speaking, the Tax Court is the place to challenge a deficiency, while claims concerning overpayments are to be brought in the federal district courts and in the Court of Federal Claims. However, Congress conferred a limited overpayment jurisdiction on the Tax Court. Section 6512(b)(1) of the Code provides in part:

> [I]f the Tax Court finds that there is no deficiency and further finds that the taxpayer has made an overpayment of income tax for the same taxable year … or finds that there is a deficiency but that the taxpayer has made an overpayment of such tax, the Tax Court shall have jurisdiction to determine the amount of such overpayment, and such amount shall, when the decision of the Tax Court has become final, be credited or refunded to the taxpayer.

Overpayment jurisdiction in this situation is exclusive to the Tax Court. The Tax Court also has jurisdiction to enforce its own decisions when they have become final. See I.R.C. § 6512(b)(2). An "overpayment" is not defined in the Code, but it is generally considered to encompass a situation when a taxpayer pays more than is due.

While interest on an underpayment can be determined in connection with a determination of a deficiency (as such interest is considered to be a tax for this purpose), such jurisdiction is considered "tangential" to the deficiency. As for interest on an overpayment, jurisdiction is even more limited, as that interest must be attributable to a decision of the Tax Court in order to invoke section 6512(b)(2) (enforcement of its own judgments). Moreover, section 7481(c) permits a taxpayer to reopen a case in which interest was awarded to determine the correct amount of interest. However, that provision only applies to matters affected by the court's decision.

In Sunoco's case, the claimed overpayments were applied by the Government to its liabilities. The Tax Court did not determine these overpayments. Thus, the Tax Court did not have jurisdiction to ascertain whether interest on those overpayments was correct. Unlike interest on a deficiency, an interest on overpayment is not considered an overpayment of tax, but a separate amount due from the Government. The court cited numerous precedents outside the Tax Court to justify this differential treatment, thereby reversing the Tax Court and dismissing the claim.

Comment: Hopefully the tax year for which the overpayment interest claim is made is still outstanding. This case illustrates the point that jurisdictional statutes are complex and require careful attention. Whoever coined the phrase "good enough for government work" was certainly not speaking about tax refund litigation.

7. Court of Federal Claims lacks jurisdiction where full payment not tendered, even if pending refund claim would satisfy liability, Wasson v. United States, _ Fed. Cl. _, 2011 WL 4888793 (2011).

The taxpayers here were victims of fraud in connection with a cattle partnership promoted by Walter J. Hoyt, III. In 2002, taxpayers filed a refund claim for their 1998 tax year claiming a business theft loss and seeking a refund of $9500. That claim was disallowed on the ground that it was submitted more than three years after filing their return. The loss claimed in 1998 also generated an NOL, which would be carried back to the 1995 tax year. However, the IRS claims that taxpayers till owe $9,092 in taxes, plus interest and penalties, for the 1995 tax year.

Taxpayers filed this claim in the Court of Federal Claims seeking refunds from both the 1995 and 1998 tax years. However, the government moved to dismiss the 1995 claim because the taxpayer had an assessed liability for that year, which was still outstanding. Based on the *Flora* rule, the government asserted that the Court of Federal Claims lacked jurisdiction over the 1995 claim because the taxpayers had not fully paid the taxes assessed for that year. The court agreed. Even though the court has jurisdiction over the 1998 refund claim, and that claim entails an NOL carryback that would satisfy the assessed liability, the court would have no jurisdiction to hear the claim over the 1995 tax year until the plaintiffs fully prepaid the taxes due.

Comment: The full payment rule may seem harsh, particularly when the taxpayer is short on funds due to fraud. The case also illustrates the need to be vigilant with regard to protecting refund claims from the ravages of time.

8. Withholding by corporation owned by taxpayer-employee may not constitute payment of taxes, May v. Commissioner, 137 T.C. No. 11 (2011).

Taxpayer was a shareholder and CEO of Maranatha, a corporation with 100 employees. He had sole signature authority over the corporate bank account, and fully controlled its finances. Taxpayer paid himself an annual salary of $260K, and the corporation withheld taxes from his paychecks as it did for other employees. However, the corporation failed to remit these withheld amounts to the proper tax authorities. As Taxpayer was the responsible party, the Service later assessed liability for these unremitted accounts against him under section 6672.

During the years at issue, Taxpayer filed his tax returns and attached his W-2s. He claimed deductions for state taxes withheld, and he also claimed the benefit of withholding credits. He was later indicted and convicted of tax crimes rooted in the use of corporate funds for personal purposes. At issue in this case was whether he could be found liability for fraud penalties related from overstated credits for the taxes withheld from his wages, but not paid over to the government. In this case, the Tax Court ruled that an underpayment includes overstated credits, following its prior decision in Feller v. Commissioner (2010). In addition, in an issue of first impression, it ruled that it was not bound by Treas. Reg. § 1.31-1(a), which requires a refund or credit when wages have been withheld at the source, even when not paid over to the government. Here, the Tax Court found that the funds were not "actually withheld at the source" under this regulation, since the funds never left Taxpayer's functional control. For similar reasons, the deductions for state taxes were likewise not properly taken in this case.

Comment: This taxpayer undoubtedly had enough trouble from the 6672 penalties and the criminal sanctions, but the Tax Court's ruling makes sense. If the ruling were otherwise, taxpayer-employees could avoid their personal tax liability (but not 6672 penalties) based on phony credits. As the court notes, this taxpayer is similar to one who inflates the amount of the credits on the W-2.

9. Accuracy penalty relief based on "reasonable" belief that payor bank would have withheld taxes, Nipps v. Commissioner, T.C. Memo 2011-267.

Taxpayer received distributions from an IRA he inherited from his cousin. Prior to receiving the distributions, Taxpayer filled out Form W-4P, which he signed. However, he did not choose any of the options available to him (*i.e.*, whether to not withhold or to withhold taxes). The bank had given him a beneficiary notice, which stated that he agreed the distribution would be subject to income taxes and that tax would be withheld unless an election was made. However, the bank did not withhold any income taxes on those payments.

The Tax Court found that Taxpayer owed the taxes on the distributions, plus additional taxes due on his social security benefits caused by the increase in his taxable income. However, in this case, where taxpayer "lacked knowledge and experience in tax law", the court found that he reasonably believed that any taxes due would be withheld by the bank/trustee of the IRA. The beneficiary notice he had received stated that the bank would withhold taxes unless he elected otherwise, and he believed it. This belief was deemed sufficient to escape the accuracy penalty, noting "he acted in good faith although with a misunderstanding of the law."

Comment: This may be a stretch, considering that taxpayer failed to report these distributions at all when the beneficiary form also stated they were taxable. Would a reasonable person believe that the payor was giving tax advice? Nevertheless, Treas. Reg. § 1.1664-4(b)(1) does allow relief for honest misunderstandings of fact or law. Keep this defense in mind, just in case.

V. Administrative Practices.

1. Final FBAR regulations (and guidance), Notice 2011-31, 2011-17 I.R.B.

Foreign financial account disclosures have been a hot topic in the past couple of years, as the Government has sought information on these accounts in order to restrict potential tax avoidance associated with off-shore funds. Proposed revisions to the regulations governing reports of foreign bank and financial accounts (FBAR) were issued in early 2010, and those regulations were finalized on February 4, 2011 (76 Fed. Reg. 10234). Those regulations are effective on March 28, 2011 – right in the midst of tax filing season. Accordingly, the Service provided some guidance in Notice 2011-31.

Comment: FBAR compliance also may invoke criminal liability. For a very interesting analysis of the evidentiary significance of noncompliance in a criminal tax context, see Clarke, et. al, Willful Failure to File FBARs and the Sergeant Schultz Defense, 159 DTR J-1 (August 17, 2011).

2. Whistleblower regulations, T.D. 9516, 76 Fed. Reg. 13880-02.

Another tax-gap reducing measure, the whistleblower incentive provision in I.R.C. § 7623, requires the government to pay rewards to whistleblowers who provide information that leads to significant tax collections. The Tax Court has jurisdiction over whistleblower claims to rewards. However, in order to evaluate the claim, tax return information may need to be disclosed, pitting taxpayer privacy protections against these interests of whistleblowers. (For a prediction of this conflict, see Morse, *Whistleblowers and Tax Enforcement: Using Inside Information to Close the Tax Gap*, 24 AKRON TAX J. 1 (2009)).

Under I.R.C. § 6103(a), return information is confidential unless the Service authorizes disclosure. Section 6103(n) authorizes disclosure for purposes of tax administration in connection with processing, storing, transmitting and reproducing returns and return information; equipment maintenance, repair, programming, and related activities; and providing other services. The regulations mirror the temporary regulation in requiring that a contract for services must be in place before return information is disclosed.

Comment: One commentator has alleged that the IRS has not yet entered into a section 6103(n) agreement with a whistleblower. See BNA Daily Tax Report, March 15, 2011, at G-3. So does this mean the regulations are currently a dead letter? Stay tuned. According to a story in Tax Notes (April 18, 2011, p. 239), the FY 2010 Report to Congress on the Use of Section 7623 indicates that the Service received 431 submissions related to 5,429 taxpayers meeting the whistleblower criteria of I.R.C. § 7623(b). In April of 2011, a $4.5 million award under I.R.C § 7623(b) was paid to a CPA who blew the whistle on a financial services firm in which he was employed (as reported by the whistleblower's lawyer).

3. Tax Court did not have jurisdiction to compel IRS action on whistleblower reporting, *William P. Cooper, III v. Commissioner, 136 T.C. No. 30 (2011).*

After reviewing whistleblower claims alleging failure to pay millions of dollars in estate and generation-skipping transfer tax, the Service declined to take action against the taxpayer. The whistleblower was notified of the denial of his claims resulting in this action. However, the Tax Court found it only had jurisdiction to review an award determination under I.R.C. § 7623(b) and the Court cannot either compel the Service to proceed with an investigation or determine the tax at issue in the claim.

Comment: Compare Kasper v. Comm'r 137 T.C. No. 4 (2011), where the Government's motion to dismiss was denied after the Service failed to prove it followed the necessary procedures in the issuance of a determination on a whistleblower claim.

4. Timely mailing and filing guidance, T.C. 9543, 76 Fed. Reg. 52561-01.

These regulations provide the "only ways to establish prima facie evidence of delivery of documents … absent direct proof of actual delivery." They are applicable for any document postmarked after September 21, 2004, which corresponds to the notice of proposed rulemaking preceding these final regulations. The date of mailing is potentially important for purposes of satisfying the applicable statute of limitation. Mail and certain private delivery services are both allowed for this purpose. In the absence of direct evidence of delivery, proof of proper use of registered or certified mail, or of proper use of a private delivery service under criteria established by the IRS (found outside the regulations), may both be used to establish the date of mailing.

5. Protestor penalty of $75K under § 6673(a)(1), Holmes v. Commissioner, T.C. Memo 2011-31.

After "yet another proceeding" and "despite repeated warnings from respondent and this Court", taxpayer persisted in making "frivolous and groundless arguments that this Court and others have repeatedly rejected." This was the fourth Tax Court opinion involving the taxpayer, and the court was apparently fed up, as it assessed a penalty of $25K for each of the tax years, even though the taxpayer was liable for a reduced deficiency in one of them due to concessions by the Service.

Comment: Just in case you have a tax protestor client, have them consider this result. Choosing to make a "point" in the Tax Court – especially more than once – can be costly. Compare Hyde v. Commissioner, T.C. Memo 2011-104, in which a $3K penalty was imposed. Filing "zero" returns or refusing to sign the jurat may also create an invalid return that ensures a failure to file penalty, as Holmes learned in this case. See also McNeil v. Commissioner, T.C. Memo 2011-150; Oman v. Commissioner, T.C. Memo 2010-276.

6. New inflation-adjusted return figures for 2012, Rev. Proc. 2011-52, I.R.B. 2011-45, 2011 WL 4984610.

Comment: The inflation-adjusted items for 2012 are out early this year. Note also that some substantive changes from expiring tax provisions are highlighted, including reductions in benefits for adoptions. The EIC continues to move upward, with a maximum credit of $5891. Eligibility potentially includes married couples with earned income of less than $50,270 (with three or more children).

VI. Partnerships.

1. Partnership formed to utilize tax credits was not a sham, Historic Boardwalk Hall, LLC v. Commissioner, 136 T.C. No. 1 (2011).

East Hall, a popular convention center in Atlantic City, NJ, needed renovation. Historic rehabilitation credits were potentially available under I.R.C. § 47, but East Hall was leased by a state instrumentality (NJSEA), which could not take advantage of them. The NJSEA created Historic Boardwalk Hall, LLC, and shortly thereafter it admitted as a new member PB Historic Renovations, LLC ("PB"), which was wholly owned by Pittney Bowes Credit Corporation. NJSEA was a minority partner owning .1 percent, and it served as the managing partner. PB owned the remaining 99.9 percent interest as an investor. Through a series of agreements, Historic Boardwalk Hall acquired ownership of East Hall. The NJSEA lent funds for the acquisition and for subsequent construction. PB made capital contributions totaling $18.2 million over a four year period, and it also loaned additional funds. Most of these capital contributions were used to pay NJSEA a development fee for its services in managing the rehabilitation.

Pursuant to the partnership agreement, free cash flow generated from East Hall would be distributed to first make interest payments, and then any remaining amount would be divided according to the interests of the partners, subject to a three percent preferred return requirement for PB. NJSEA also had certain rights to reacquire PB's interest in the LLC, and PB in turn had a put option that could compel NJSEA to purchase its interest. The partners also executed a tax benefits guaranty, which appointed NJSEA as the tax matters partner and required NJSEA to fund any tax benefits guaranteed to PB through the partnership.

The LLC operated at a loss, though it did better than the parties had projected after its rehabilitation was completed. During 2000-02, the LLC incurred more than $100 million in qualified rehabilitation expenditures, which at a 20 percent tax credit rate would generate more than $20 million in tax benefits to PB. The IRS challenged this tax treatment on several grounds, including (1) the partnership was a sham; (2) East Hall was not really "sold" in this case because the benefits and burdens of ownership did not pass; and (3) antiabuse provisions in Treas. Reg. 1.701-2(b) allowed the IRS to disregard the partnership.

The Tax court held in favor of the taxpayer on each of these theories. Relying on case law in the Third Circuit on the matter of economic substance, the IRS had argued that the transaction failed the two-prong requirement of economic substance and subjective business motivation. It argued that, apart from tax benefits and taking into account the time value of money, the investment results in a negative cash flow to PB. There would be no subjective business purpose apart from the rehabilitation credits.

However, in the court's view, this position ignored the three percent preferred return to PB and the tax credits, which should be viewed together. It viewed the transaction has having a legitimate business purpose in allowing PB to invest in the rehabilitation, which provided additional resources for NJSEA. It also rejected the Service's positions that this transaction was nothing more than a "sale of tax credits". The partnership incurred legitimate development expenses, and this was squarely within the scope of section 47.

Although the parties sparred over whether the tax credits could be taken into account, the court deflected this issue. While cases such as Sacks v. Commissioner (9^{th} Cir. 1995) took into account Congressional intent in allowing tax benefits for a losing transaction in solar energy, the court seems to dismiss this argument based on the fact that PB had an opportunity to profit from its guaranteed three percent preferred return.

The court also found that a partnership was formed, that benefits and burdens of ownership had transferred, and that the anti-abuse rule in the regulations was not applicable in this context on account of using a partnership for a prohibited purpose of reducing federal taxes. Treas. Reg. 1.701-2(d), Ex. 6 seemed to contemplate this possibility of using a partnership to transfer credits in this context.

Comment: The structure created here seems to facilitate something Congress intended under section 47 to facilitate federal support for rehabilitating historic structures owned by the state. The three percent guaranteed return seemed important to the outcome here, but query whether the transaction would have satisfied the economic substance inquiry if the only benefit was limited to the tax credits.

2. Investor payments were partnership gross income, not contributions to capital, Virginia Historic Tax Credit Fund 2001 LP v. Commissioner, 639 F.3d 129 (4th Cir. 2011).

At issue here was the characterization of payments made from investors to a partnership formed for the purposes of taking advantage of historic tax credits offered by the state of Virginia. Virginia grants a state tax credit to developers of up to 25 percent of the eligible expenses incurred to renovate an historic property. Virginia does not permit the developer to sell excess credits, but it does permit partnerships to include allocation provisions that allow those credits to be divided by agreement.

Promoters seized on this opportunity and designed a partnership for this purpose. They formed an LLC ("2001 LLC") which became the general partner in other limited partnerships that were formed to invest in historic development projects. Limited partner interests were then sold to the public. Each limited partner was promised to receive a percentage participation in the partnership, so that the total investment interest of all limited partners would be no more than one percent. For most, this simply meant they would own a .01% interest. In return, they were told to expect no material amounts of partnership income or loss. The general partner also retained an option to repurchase the entire interest of the limited partners for their fair market value.

The limited partners would not be required to make any capital contributions in excess of $100 before the general partner had received certification from the state that the rehabilitation project was qualified. Thus, the partnerships would only invest in completed projects, thereby reducing the risk that the project would, for some reason, not be qualified and eligible for the credit. However, once that certification was made, the limited partners would contribute a stated amount for their share of tax credit allocations.

Between November 2001 and April 2002, the partnerships took in $6.99 million from limited partners. They paid a total of $5.13 million to fifteen developers, paying on average $.55/per $1 of tax credit and thereby acquiring $9.2 million in rehabilitation credits. In total, their syndication costs and related expenses were $330,986. Thus, the partnerships seemed to have an economic profit of around $1.53million (i.e., $6.99 million-$5.13 million - $.33 million) as a result of these transactions. However, on their tax returns, the partnership reported losses, which resulted from (1) deducting the syndication costs and expenses; (2) expensing the amounts paid to developers for the credits; and (3) treating the amounts received from limited partners as nontaxable contributions to capital.

The IRS argued that the amounts received from limited partners here were not properly characterized as contributions to capital, but instead should be classified as sales. The Service proffered two grounds: (1) these were not bona fide partners; and (2) alternatively, section 707 covers these items as disguised sales. The Tax Court had rejected both of the IRS arguments, finding in favor of the partnerships. (T.C. Memo 2009-295, Kroupa, J.). This appeal to the Fourth Circuit followed.

The Fourth Circuit first considered whether a transfer of "property" had occurred, an issue not addressed by the Tax Court below. After all, the limited partners received allocations of state tax credits – and they could not be sold or inherited independently of the partnership. So how is there an exchange of property under the disguised sale rules? The Fourth Circuit found that the answer to this "hybrid state and federal law question" could be found in case law dealing with I.R.C. § 6321 – a federal tax lien statute. Although the credits are not "transferable", that is not essential as long as they entail a right to use them and to exclude others from them. The fact that investors paid for these credits also seemed to support the property requirement -- if they were not "buying" then what were they doing?

Having found that property was involved, the Fourth Circuit had no trouble applying the disguised sale provision. Here, it treated whether a sale had occurred as a legal question subject to de novo review. In doing so, it provided mild criticism to the Tax Court for going beyond the factors in the regulations and instead focusing on the entrepreneurial risk of the partners. Here, the fact that the partners would have a refund of their investment if the partnerships refused to allocate the expenses did not constitute entrepreneurial risks – it was really no more than the risk of nonperformance that an advance purchaser takes in that context, which is not entrepreneurial. Thus, the partnerships are taxable on these disguised sales.

Comment: Although the Fourth Circuit recognized a policy argument that the federal government should facilitate these partnership transactions that assist the states in their historic preservation programs, those programs can still thrive without giving the general partner a free pass. Presumably, the general partner could otherwise have deferred those taxes until they withdrew cash in excess of basis. (See I.R.C. § 731(a)).

3. Tax law partnership erred in allocating income to S corporation and failed to avoid employment taxes, Renkemeyer, Campbell & Weaver, LLP v. Commissioner, 136 T.C. 137 (2011).

A law firm with a practice that emphasizes federal tax law consisted of three partners and an S corporation, RCGW Investment Management, Inc. (RCGW). An ESOP owned RCGW, apparently in an attempt to create some kind of qualified retirement plan for the partner beneficiaries. (No one raised an issue of the validity of the plan, and the Tax Court did not consider it.)

For the 2004 tax year, K-1s filed with the Form 1065 for the partnership showed that RCGW had a 10 percent interest in profits and no capital interest; the other three partners had 30 percent profits interests and equal shares in the capital of the partnership. However, the partnership made a special allocation of its fee income for the year so that 87.5 percent went to RCGW, with the balance going to the partners in unequal shares. The partnership agreement was not in the record, however, making the basis for this allocation questionable. RCGW filed a tax return reporting over $1 million in "other income" which came from its share of firm profits. None of this amount was treated as earned income subject to employment taxes.

The Service audited the partnership return and reduced the partnership's income by $905,000, reflecting fee reported by not received during the 2004 tax year. That adjustment was not disputed. But the Service also reallocated the remaining net income to reflect the profit sharing ratio reported on Form 1065, thus increasing the partners' share and decreasing RCGW's share to only 10 percent of the partnership's income.

For 2005, the partnership agreement was amended to eliminate the RCGW interest and to divide the partners' interests into managing and investing interests. The profit interests were allocated 1 percent to the managing interest and 32 percent to the investing interests, with a special provision that effectively delivered a bonus to a partner whose client generated a fee over $100,000. The Service accepted the special allocation for 2005, but treated all income as subject to self-employment tax.

The Tax Court focused on the lack of a partnership agreement for 2004, coupled with the disparity between the allocation to RCGW and its relative interests in capital and profits. Less than 1 percent of partnership revenue was generated by investment activities of RCGW, and it made no capital contributions to the partnership. Thus, the Commissioner's reallocation was upheld.

As for the matter of employment taxes, the Tax Court found that all of the partners' earnings were subject to employment taxes, despite the 2005 amendment to the partnership agreement that divided profits interests between managing and limited partner interests. Their partnership, formed under Kansas law, had elected to become an LLP. However, that did not make the partners "limited partners" for employment tax purposes. Looking to the legislative history, the court pointed out that the limited partner exception from employment tax rules was limited to those who merely invested, rather than actively participated in business operations. Here, virtually all the partnership income was from legal services performed by the partners, rather than from investment returns.

Comment: This alternative approach to employment tax avoidance is a variation on the theme of salary reduction attempted in the S corporation context in Watson, infra, but is likewise ineffectual. Even if this partnership would have had a valid partnership agreement allocating income to their S corporation, it is hard to see how a court could be persuaded that the wildly *disproportionate allocation to a related entity would somehow be upheld. (And other unexplored tax problems associated with qualified plans may also lurk here.)*

4. Proposal to remove de minimis partner rule, REG-109564-10 (10/24/11).

Final regulations regarding partnerships published in May 2008 (T.D. 9398) included a *de minimis* partner rule, which allowed partnerships to avoid the complexity of substantiality testing for special allocations for a partner that owned less than 10 percent of the capital and profits which as allocated less than 10 percent of partnership items. See Treas. Reg. § 1.704-1(b)(2)(iii)(e). According to the preamble to these proposed regulations, the rule "should be removed in order to prevent unintended tax consequences."

Comment: Like all bright-line rules, this one can be engineered to deliver benefits that do not match the purpose of the substantiality requirement.

VII. Corporations.

A. S Corporations.

1. S corporation not engaged in trade or business faces limitations on losses and deductions, Broz v. Commissioner, 137 T.C. No. 5 (2011).

Taxpayer acquired wireless cellular licenses from the FCC to develop cellular networks in "rural statistical areas", including a license for Northern Michigan in 1991. Later that year, he formed an S corporation ("RFB") and contributed the license in exchange for 100 percent of the stock. Motorola extended financing to cover startup expenses for the cellular network, and RFB ultimately generated income from roaming charges and the sale of cellular phones. Taxes on this income were paid by RFB and treated as loans to the shareholder.

Taxpayer formed a second S corporation ("Alpine") to bid on other cellular licenses. Alpine was funded primarily through using funds borrowed from CoBank by RFB, which it in turn advanced to Alpine. This S corporation (and another similar holding company) presented problems in allowing any pass-through of losses. First, there was the problem of insufficient basis to allow the losses. The court found no evidence that the taxpayer was a "lender" in the place of RFB, for purposes of allowing losses to pass-through and reduce the basis of shareholder debt. Moreover, the payments were characterized as "advances, rather than loan distributions" at the time the payments were made. Only year-end bookkeeping entries reclassified these as loans, and even in this case, taxpayer could only be viewed as a conduit of the funds, not the real lender. Significantly, the court rejected the taxpayer's attempt to characterized RFB as an "incorporated pocketbook" of the taxpayer, in which there is a habitual practice of having a corporation pay money to third parties on his behalf.

Second, the taxpayer also failed to show that an economic outlay had occurred on account of their pledge of S corporation stock as collateral for CoBank loans. Here, taxpayers could not show that they incurred any cost on account of pledging the stock. The court also noted that RFB disclosed in its financial statements that it would not demand repayment on any advances made to the shareholders, further suggesting that a risk of loss was limited. Significantly, RFB would ultimately become bankrupt, but not until after the years at issue. The Tax Court would not countenance that possibility, as it occurred only in later years.

Taxpayer would also face an additional barrier from the at-risk rules, which generated an issue of first impression: was the taxpayer "at risk" with regard to the RFB stock it had pledged to secure the CoBank loans that ultimately benefitted Alpine? The Tax Court ruled that such stock was not "unrelated to the business" and therefore it was ineligible for purposes of the at risk rules. (See I.R.C. § 465(b)(2)(A) and (B)). These entities were all connected to each other; moreover, the transaction was also structured to ensure that it was "highly unlikely" the taxpayers would experience a loss. (It is unclear why the at-risk rules were relevant here, given the other problems in seeking deductions.)

Finally, the court also addressed whether Alpine had been engaged in an active trade or business for purposes of allowing business expense deductions, amortization of FCC licenses, and ultimately for deducting startup expenses. Here, taxpayers failed to show that an active trade or business had yet begun by Alpine, a separate corporation. The determination had to be made for each entity, and RFB's activities in operating licenses could not be attributed to Alpine.

Comment: The fact that a separate entity used to hold an intangible is not considered to be engaged in a trade or business is significant and potentially adverse for taxpayers. Query whether a single-member LLC that held a license would generate a different result than the S corporation in this case? The disregarded entity may fare better, but is that the right policy result? Also notable in this case was Judge Kroupa's rejection of an equitable estoppel claim against the Service based on a failure to follow through on a proposed settlement, which was later scuttled.

2. Airplane used for flying lessons not connected with S corporation business, Douglas v. Commissioner, T.C. Memo 2011-214.

Taxpayer (wife) owned an S corporation, Bantam, that conducted a trucking business. Her husband was employed by the corporation. In 2007, taxpayers consulted their CPA about the tax aspects of purchasing an aircraft. They reasoned that the plane could be used to transport over-the-road truck drivers to replace other employees who became ill or otherwise could not continue their deliveries, which were often highly time sensitive. Bantam first purchased a Cessna 150 in 2006, which was resold in August 2007. Husband used the plane for flying lessons. No tax benefits were claimed for this aircraft. Later in 2007, the company purchased a Cessna 172 for $135,000, for which the company claimed $125,000 under section 179, and it also deducted $10,580 associated with upkeep and storage. However, the aircraft was only used for Husband's flying lessons; no one in the company had a pilot's license.

Here, depreciation deductions (and similar deductions under section 179) are potentially available under the "idle asset" rule when the asset, although not in actual use, was devoted to the business and ready for use if needed. However, the airplane here did not meet the requirements for this rule. It was not idle, as it was used to train Husband. Further, it was not ready for use as a suitable pilot was not available. The court rejected Husband's claim that "stand-by pilots" were available, as there was no evidence in the record of any agreement with a pilot. The deductions were disallowed, but taxpayers avoided the accuracy penalty on account of consulting a competent tax adviser.

Comment: Query whether this taxpayer could have prevailed merely by having an agreement with a licensed pilot. Here, all deductions for the plane were disallowed due to the lack of a business connection; query whether training for a shareholder-employee could be funded as a business expense if a business usage had otherwise been established.

3. Invalid Q-Sub election prevents transferred loss, Presidio Advisors, LLC v. United States, __ Fed. Cl. __ , 2011 WL 4621240 (10/6/11).

Partners in Presidio Advisors, LLC challenged the disallowance of $11.4 million in losses and associated penalties associated with the sale of equipment. The Presidio partners also owned Presidio Capital Corporation, a C corporation (PCC). In June 1998, a foreign corporation, Helmvest, contributed foreign currency and an option to buy equipment to PCC. In return, PCC issued common stock plus it assumed certain liabilities, including an obligation on a short sale of Treasury securities. Helmvest recognized a $11.7 million gain on this transaction, but it was a foreign corporation that was exempt from U.S. tax on this amount. PCC redeemed the Helmvest shares on October 27, 1998, leaving two individuals as its only shareholders. On October 30, PCC exercised the option to purchase the equipment, which gave it a basis of about $11.8 million in the equipment, when combined with the basis in the option acquired from Helmvest plus the cash paid for the equipment. On November 6, the shareholders of PCC contributed their shares to Prevad, an S corporation. Prevad thus became the owner of Presidio. On November 8, PCC transferred the equipment to Prevad, which in turn transferred the equipment to Presidio. Presidio sold the equipment for $465,000, reporting an $11.4 million loss (which entails a basis of $11.8 million in the equipment).

This high basis claimed for the equipment depends on preserving the original basis that PCC had in the equipment, which had declined in value (and perhaps never was worth this amount). If PCC had remained a C corporation, the only way in which it could transfer its high basis in the equipment to Prevad would have been to make a distribution in complete liquidation to its parent. (See I.R.C. §§ 332, 337, and 334(b).) However, a liquidating distribution apparently did not happen in this case. Instead, the taxpayer sought to treat PCC as a Q-Sub of Prevad, which conceptually triggers such a liquidation and allows Prevad to treat the QSub assets as its own. When Prevad contributed the equipment to the partnership, the partnership would thus take the same basis that Prevad had, thereby transferring the potential loss (under then-applicable rules).

The key problem with this theory involved the election to treat PCC as a QSub. Form 966 was filed on January 19, 1999, and it was made retroactively to October 31, 1998 – exactly 75 days before it was filed, the maximum period allowed under the applicable guidance for filing the QSub election in Notice 97-4. Unfortunately for the partners, the validity of that retroactive election depended on PCC qualifying as a valid S corporation during the entire period of retroactivity. First, on October 31, Prevad was not the sole shareholder of PCC. It could not be a QSub on that date. The petitioners claimed that this date was a mistake, and that they really intended the election to be made as of November 6. But even that theory didn't work, as there was evidence in the record that on November 6, Prevad transferred PCC stock to the partnership – thus also making it ineligible to be a Qsub.

Comments: The Qsub issue here provided a clear basis for a government victory, as the facts did not support the form of the transaction chosen by the taxpayer. However, given the use of an offshore corporation, large built-in losses, and other indications of a tax-motivated transaction, query whether economic substance arguments may have ultimately yielded the same result. Changes in tax laws involving built-in losses, particularly in the partnership regime, would also have constrained the realization of losses here in later years -- so don't try this at home, even with a valid-Qsub election.

4. S corporation distributions recharacterized as wages, David E. Watson, P.C. v. United States, 757 F.Supp.2d 977 (S.D. Iowa 2010).

Taxpayer (David Watson) was a CPA who formed an Iowa Professional Corporation and elected S corporation status. He was the sole employee, shareholder, and officer of the PC, and his employment relationship was governed by an Employment agreement. Taxpayer substituted the PC as the new partner in an accounting practice group, which included three other professionals. During the 2002 and 2003 tax years, Watson received $24,000 designated as "salary" from his PC and he paid employment taxes on that amount. According to taxpayer, this amount was based on the worst-case estimates of the accounting partnership cash flow, though there was no other evidence or testimony from other partners on this matter. The PC's only income came from the accounting partnership, and other profit distributions from that partnership to the PC totaled $203,651 for 2002 and $175,470 in 2003. Taxpayer admitted that this salary was less than what a new graduate in accounting was paid, and he testified that he would not "hire himself out to someone else for $24,000 per year without having ownership in the business."

The Service employed an expert, which testified that a reasonable compensation for someone with Watson's experience and role in the company would conservatively be $91K, based on his status as a "de facto partner" in the accounting practice, rather than an employee of his PC.

The District Court agreed with the Service, following the analysis of the Ninth Circuit in *Jospeh Radtke, S.C.* and *Spicer Accounting, Inc*., to find that the salary was unreasonably low, and that distributions should be recharacterized as wages. Economic realities, not the form or label given the payment by the parties, governs the tax treatment. However, the Court rejected an attempt by the government to treat the wage payments as being made in the first two quarters of the year, rather than ratably through the year. While the government's approach would enhance the interest due, the court found that the $24,000 salary had been paid ratably, and this practice should also be followed for recharacterized.

Comment: You cannot accuse this taxpayer of being lax about formalities. His S corporation "regularly held shareholder meetings, at which Watson ([the] only shareholder, employee, and officer) was the only participant." (And you think your partner meetings are dull ….) But of course, formalities don't save the day when employment tax avoidance is involved.

5. S corporation paid bonus, not loan, Winter v. Commissioner, T.C. Memo 2010-287.

Taxpayer owned stock in an S corporation that owned the bank where he worked. (Additional facts can be found in Winter v. Commissioner, 135 T.C. 238 (2010), which involved a jurisdictional dispute). In this case, the bank paid him compensation of $5.6 million in 2002, which was reflected on Form W-2. Taxpayer paid the tax on this full amount received, but he now claims that this payment was in error. Taxpayer also challenges the amount of his share of the bank's income. Although the K-1 from the bank showed $820,031 of income, taxpayer argues that it should have reflected a loss of $1.2 million. The K-1 difference hinges on whether the corporation would have been entitled to deduct the entire amount of the compensation, which included a bonus of $5.5 million allocable to services performed in the current year and the succeeding five years. The corporation had deducted only 1/5 of this amount, which was attributable to earnings during the current taxable year, and it deferred the balance for purposes of computing the income taxable to its shareholders.

Taxpayer argued that the payment was a contested liability, since later in the tax year, after the payment had been made, he was fired and the corporation sought repayment of the unearned portion of the bonus. Section 461(f) allows a deduction for a contested liability, but the Service argued that since there was no contest at the time the payment was made, this provision could not be applied. The Tax Court disagreed with the Service, finding that a determination about a contest may be made at the end of the taxable year, and is not limited to the time at which payment had been made. However, it found that the payment here was in the nature of severance, and that his employment agreement would have entitled him to the entire bonus in the event he would be fired. Thus, the right to receive the payment arose not out of the performance of services, but from the bank's termination of his employment. Here, the court treated the payment as being covered by Treas. Reg. 1.461-4(g)(7)'s "catchall provision" which allows payment to a creditor to be treated as economic performance. Following this finding, the court breezed through the remaining elements of 461(f), concluding that the amount was deductible and that economic performance had occurred. Taxpayer would thus be entitled to a different K-1 amount, albeit one which reflected the disputed $4.4 million deduction times his ownership interest of 26 percent. (An accuracy penalty was sustained for any difference remaining after this adjustment.)

As for Taxpayer's claim that he was not taxable during 2002 on the bonus payment, as it was a loan, the Court could not agree with the taxpayer. Here, Taxpayer did not have a loan, as there was no unconditional obligation to repay at the time he received it. The absence of a note or required interest payments was not dispositive here, as the primary obligation here was to render services, not to repay a loan secured by future income. As such, the entire amount was taxable in 2002. If he was forced to repay the bonus, section 1341 would provide some form of relief, but only in the year he repaid that amount.

Comment: This case presents interesting tax accounting issues as well as illustrates the interrelatedness between S corporations and their owners on matters of compensation.

B. C Corporations

1. No transferee liability for corporate taxes, Griffin v. Commissioner, T.C. Memo 2011-61.

Petitioner (Griffin) was an entrepreneur who had founded HydroTemp corporation, which made heat pump equipment for swimming pools. In 2002, HydroTemp sold its heat pump manufacturing assets to Pentair, one of its largest customers, for about $8.3 million. This included the corporation's rights in the HydroTemp name brand, but it would not involve any other assets. After the sale, HydroTemp changed its corporate name to HTMC, but a delay in filing the change occurred. The corporation continued a modest business selling hot water generators and retained some assets, including an automatic dialing system and $1.5 million in accounts receivable.

Griffin wanted to ensure that the corporation could draw interest on the substantial proceeds from the sale. However, without the name change certification from the Secretary of State, he was unable to do so. Griffin arranged to have the corporation lend him $5 million in exchange for a demand note at 4 percent interest. He then deposited these funds in his own interest-bearing account at his broker. In addition, the corporation advanced $300,000 to Taxpayer as an interest free loan intended to compensate him for past services. The corporation retained about $500K in its own (non-interest-bearing) bank account.

Various firms approached Griffin about investing the funds from the sale. One of them was MidCoast, which was in the asset recovery business, which involved collecting delinquent debt. Apparently the assets, including the autodialer and accounts receivable, looked attractive for converting Hydrotemp into an asset recovery business. After due diligence, Griffin agreed to sell his stock in Hydrotemp to MidCoast. The deal changed over time, but ultimately it involved redeeming Griffin's stock by extinguishing his demand note to Hydrotemp, as well as a small cash payment and the assumption of all tax liabilities incurred by Hydrotemp prior to the acquisition by Midcoast. After the redemption transaction and all payments, Hydrotemp was still solvent, showing $225K in net equity. Griffin reported over $5 million in capital gains and paid his taxes.

However, the new owner of Hydrotemp was apparently not so scrupulous in its tax obligations. The 2002-03 fiscal year return showed an offsetting capital loss from the sale of "binary options" and thus, instead of reporting taxes due of $2.6 million from the Pentair asset sale, it showed no tax due. The return listed Griffin as the owner of all stock, but this was not true; Griffin also had no involvement in preparing the return.

Hydrotemp was audited in 2006 and the Service disallowed the losses on the "binary options" and assessed a 40 percent accuracy penalty. However, Hydrotemp did not respond to the notices and when the Revenue Officer sought to collect, he could find no assets. Griffin then became the target, and the Service asserted transferee liability under section 6901. Griffin contacted MidCoast and demanded satisfaction based on their agreement, but it refused. He incurred $125,000 in legal fees securing a declaratory judgment that MidCoast was liable for the taxes. However, this was all of no avail.

Griffin sought relief in the Tax Court, which granted his petition contesting the transferee liability. Transferee liability under section 6901 depends on state law, which here involved Florida law. Here, the Service could not prove that a disposition of property from Hydrotemp to Griffin had occurred that was either actually or constructively fraudulent. The first distribution, the loan, was in exchange for a promissory note, and the redemption transaction affecting the note was for a legitimate transaction. The Service sought to join the Pentair asset sale to these later transactions under the substance over form doctrine, but the court refused, finding that each had independent legal significance. There was no fraud in either distribution, and the corporation remained solvent after the stock sale by Griffin. Moreover, Griffin sought to ensure that the corporation would pay its taxes, and he incurred legal costs to ensure that MidCoast would do so.

Comment: Transactional lawyers would likely benefit from reading Griffin. Short of establishing an escrow for corporate taxes, it would seem that sellers like Griffin face potential litigation risks when the transferees fail to keep their bargain. Griffin here faced significant litigation costs not only in state court to obtain a declaratory judgment, but also in the Tax Court. (Query whether he should have received litigation costs in the latter venue.) For another case involving an ill-fated transaction with MidCoast in which shareholders also successfully avoided liability under section 6901, see Starnes v. Commissioner, T.C. Memo 2011-63 (applying N.C. law). For yet another case involving MidCoast, in which a guaranty provision was successfully invoked (but was a collection made?), see Bradley v. MDC Credit Corp. (D. S.D. March 4, 2011).

2. Exclusion for contribution to capital not applicable to federal and state government contributions, AT&T v. United States, 629 F.3d 505 (5th Cir. 2011).

AT&T sued to recover tax refunds of more than half a billion dollars based on the theory that universal service support payments by federal and state governments were non-shareholder contributions to capital excludable from gross income under section 118. The Fifth Circuit agreed with the Government that these amounts were not intended to be capital contributions. Following the five factor analysis in the Supreme Court's decision in United States v. Chicago, Burlington & Quincy Railroad Co., 412 U.S. 401 (1973), the court found that the federal and state payments here to support universal telephone services were designed to provide supplemental revenue, not as a contribution to capital.

Comment: See also Sprint Nextel Corp. v. United States, 779 F.Supp2d 1184 (D. Kan. 2011) which also rejected Sprint's claim for an exclusion.

3. Taxpayer was "alter ego" of corporation and personally liable for its taxes, Western Management, Inc. v. United States, __ Fed. Cl. __, 2011 WL 3966147 (2011).

Taxpayer was "an experienced tax lawyer" who organized a corporation for the purpose of providing legal services to clients. He provided those services himself, and classified himself as an independent contractor for the purpose of avoiding employment tax obligations on the corporation. By his own admission, the corporation was a "shell" or "nominee"; it had no bank account or assets, and it was entirely dependent on Taxpayer and his wife for credit and liquidity. It was operated as a "disregarded entity". Taxpayer had frequently litigated tax issues in the tax court arising from his own liability as well as from that of the corporation. Applying Washington law, the Court of Federal Claims rejected Taxpayer's claim for refund for taxes paid on the corporation's behalf, holding that as an "alter ego" he may be held personally liable for those tax liabilities. Further, the Taxpayer's wife, as a holder of community property with her husband in Washington, could be held personally liable for the corporation's unpaid taxes on that basis. Here, the corporation had made numerous payments to the couple's personal creditors.

Comment: The case also involves a jurisdictional question, in which the court dismissed the corporation's claims as well as the government's counterclaim on account of litigation pending in the Tax Court and on appeal in the Ninth Circuit at the time the claim was filed. See 28 U.S.C. § 1500 (denying jurisdiction to the Court of Federal Claims when concurrent suit pending).

4. Safe harbor for deductibility of "success-based" fees in acquisitions, Rev. Proc. 2011-29, 2011-18 I.R.B. 746.

Fees paid in reorganization or acquisition transactions are potentially subject to capitalization requirements outlined in Treas. Reg. § 1.263(a)-5. However, uncertainties have arisen over the extent to which fees may be allocated to activities that facilitate a covered transaction (and thus are capitalized) and those that do not (which may be deductible). The regulations provide that amounts that are contingent on successfully closing a transaction ("success-based fees") are presumed to facilitate the transaction, and that taxpayer must rebut this presumption through maintaining sufficient documentation.

In this revenue procedure, the Service has adopted a safe-harbor rule that allows success-based fees to be allocated 70 percent to the deductible portion and 30 percent to the capitalized portion. This safe harbor is effective for taxable years ending on or after April 8, 2011 (the announcement date). The safe-harbor is elected by filing a statement attached to the original tax return. It applies on a transaction-by-transaction basis, and once made, the election is irrevocable. The procedure also points out that adopting the safe harbor does not constitute a change in method of accounting.

Comment: It is unclear how this safe harbor will be used with regard to disputes in prior taxable years. This kind of "rough justice" may save a lot of documentation woes, leading to significant costs associated with realizing tax benefits, as opposed to other efficiencies.

VIII. Selected Tax Shelter Litigation Developments.

1. Bad tax advice by bank and securities firm actionable in tort, Kahn v. BDO Seidman LLP, (Ill App. March 16, 2011).

Plaintiffs in this case brought claims in Illinois state court against accounting firms, banks, and brokers involved in promoting a tax shelter transaction that lacked economic substance. Kahn was part owner of a corporation that was doing business internationally. He initially approached a partner at the corporation's audit firm for advice about purchasing Japanese yen. Instead, he was steered into a "digital options" investment strategy involving foreign currency. A major international bank was brought in to help with these transactions. The bank also allegedly referred the plaintiffs to a law firm, which it characterized as "independent", but it was not. Plaintiffs participated in two different tax years, 1999 and 2000, with assurances from the promoters that it could avoid penalties based on the law firm's opinion.

In 2001 and 2002, the IRS offered an amnesty program to those who participated in these schemes. The plaintiffs alleged that the promoters advised them not to participate, and that this advice was for the benefit of the promoters, not for their benefit. This would also become a basis for continuing violations of fiduciary obligations that the plaintiffs asserted against the defendants in this case.

Although the district court dismissed the plaintiff's claims, the court of appeals reversed. Among the more interesting of its findings includes: (1) contractual clauses that attempted to exclude fiduciary obligations from the relationships between the plaintiffs and promoters were not effective when a fiduciary relationship had been previously established as a matter of fact before any contracts had been signed; (2) section 552(1) of the Restatement Second of Torts, which provides for liability on account of information negligently supplied for the guidance of others in a business capacity, could be applied to the bank defendants despite the fact that they were not professional tax advisors or accountants; and (3) claims here were not barred by the statute of limitations under the so-called "discovery rule", as injury could not be known until an assessment or settlement with the IRS had occurred, at least with regard to damages from tax penalties and the like.

Comment: The potential for liability under section 552 of the Restatement should be considered by all kinds of firms that are involved in transactional guidance. The plaintiff here got *sympathetic treatment from the court, which noted at one point: "All in all, one could get the impression that Khan was considerably out of his element and that he more or less was told where to sign." His "blind or uncomprehending faith" in experts was also noted. Interestingly enough, this kind of reliance would not necessarily prevent tax penalties, but it may strengthen a state law claim against promoters based on fiduciary obligations. Stay tuned for more of these cases.*

2. Regulations say basis overstatement is an omission from gross income for statute of limitations extension, T.D. 9511.

On December 14, 2011, the Service ensconced its litigation position in numerous cases into final regulations. Given the enhanced prospects for *Chevron* deference following the Supreme Court's decision in *Mayo Foundation*, it would appear that these regulations will enhance the prospects of future victories by the Service on these issues.

3. Economic substance lacking in "CARDS" transaction, Kerman v. Commissioner, T.C. Memo 2011-54.

Taxpayer was an S corporation shareholder with large compensation and a large gain ($5.4 million) from the sale of company stock to an ESOP. He sought to offset the gain with a so-called "CARDS" transaction, which involved borrowed funds generating claimed losses of some $4.2 million on account of a putative foreign currency swap, but no real substantial economic losses. Following its 2009 decision in Country Pine Finance, LLC v. Commissioner, T.C. Memo 2009-251, the Tax Court agreed with the Service that a nearly identical tax-motivated transaction was involved and that it lacked economic substance. Further, the taxpayers also lacked a nontax business purpose for entering into the transaction. (See Notice 2000-44, 2000-2 C.B. 255, for a discussion of a similar transaction.) As such, the loss claimed by the taxpayers was disallowed. Further, a gross valuation misstatement penalty of 40 percent was imposed, there being no reasonable reliance on any tax opinions by counsel that were not connected with the transaction. Taxpayers in this case sought to show reasonable cause and good faith, an exception to the penalty. However, "[t]he most important factor in determining reasonable cause and good faith is the extent of the taxpayer's effort to assess his property tax liability." Here, Taxpayer fell short in many respects. Several of the advisers were connected with the transaction and were compensated based on tax losses. Legal opinions also were not tailored to what actually happened in the case, but had the appearance of being generally used for tax avoidance. Significantly, the court also noted that reliance on a tax shelter promoter is unreasonable when the advice seem to a reasonable person to be "too good to be true." (The promotional materials also included Notice 2000-44, which should have been a clue to those who actually read them.) As the court noted, taxpayers in this case incurred over $600,000 in fees and costs to receive "financing" of $784,750, which they never used. "As a capable businessman and prudent investor, [Taxpayer] knew or should have known that the CARDS transaction was just too good to be true."

Comment: Taxpayers paid $600,000 for the privilege of paying 40 percent more in taxes plus the anxiety of litigation – not such a good trade, would you say?

4. More Derivium Capital cases finding sales, not loans, Kurata v. Commissioner, T.C. Memo 2011-64.

In another case arising out of a stock pledge-loan program involving Derivium Capital, LLC, the Tax Court found that the initial transaction between the taxpayer and Derivium was a sale, not a loan, thereby triggering gain recognition in the year the transaction was initiated.

Comment: Taxpayers are losing these cases with regularity, following Calloway v. Commissioner, 135 T.C. 26 (2010) (discussed in last year's outline)). See also Sollberger v. Commissioner, T.C. Memo 2011-78; Landow v. Commissioner, T.C. Memo 2011-177.

5. SILO loss for taxpayer affirmed, Wells Fargo & Co. v. United States, 641 F.3d 1319 (Fed. Cir. 2011).

The Federal Circuit had no trouble in affirming the trial court's finding) (at 91 Fed. Cl. 35 (2010)) that the sale-in, lease-out ("SILO") transactions generating $115 million in deductions for the 2002 tax year lacked economic substance and thus would be disregarded for tax purposes. The lease transactions here involved tax-exempt entities in public transit. The Government had challenged the ownership of the equipment, which was essential for the underlying depreciation deduction. The Federal Circuit agreed that the structure of these transactions made it "virtually certain" that the tax-exempt entities would exercise repurchase options, so that the benefits and burdens of ownership never really transferred to the taxpayer. In doing so, the court rejected the taxpayer's claim that *Frank Lyon* should control the outcome of this case, noting that many others had distinguished that case in the context of a transaction with a tax-exempt party.

Comment: This appellate victory for the Government is consistent with the outcomes in other cases, including BB & T Corp., 523 F.3d 461 (LILO); Altria Group., Inc. v. United States, 694 F.Supp.2d 259 (S.D.N.Y.2010) (LILO and SILO); AWG Leasing Trust, 592 F.Supp.2d 953 (SILO). However, Consolidated Edison, 90 Fed. Cl. 228 (2009) reached a favorable conclusion for the taxpayer on the repurchase option.

6. Injunctive relief imposed upon attorney promoting tax shelter investments, United States v. Stover, 650 F.3d 1099 (8th Cir. 2011).

The government brought a civil action under I.R.C. § 7408 to enjoin the defendant, an attorney who designed and implemented tax shelter schemes for his clients, from promoting these schemes, and further restrained him as follows:

> Defendant is enjoined from organizing, establishing, promoting, selling, offering for sale or assisting in any financial or tax related arrangement without submitting, in writing to an IRS designee, a detailed plan explaining the financial or tax arrangement and all steps necessary for the arrangement to be legal under the tax code.

The district court issued the injunction, and the defendant appealed to the Eighth Circuit. The Eighth Circuit affirmed the injunction. It found that his promotion of these tax shelters was very costly to the government, entailing losses in the hundreds of millions of dollars. Moreover, it involved "false" advice, not only because it was affirmatively wrong, but also because of other provisions it neglected to mention, including provisions designed to limit the tax benefits he promoted. IRS oversight in this context was not impermissible delegation of Article III power, as the defendant alleged. Moreover, it also rejected the claim that this was an impermissible prior restraint in violation of his First Amendment rights, concluding instead that it was a narrowly tailored effort to restrict false or fraudulent commercial speech.

Comment: The scope of this injunction is arguably quite broad, as it could conceivably limit the defendant's ability to provide legal advice on any tax matter without getting prior approval from the IRS. That is hardly the least restrictive means of preventing him from engaging in the promotion of future tax violations. The case is helpful in outlining "parallel C", "ESOP/S, and "Roth/S" approaches to tax savings, which are all considered unlawful tax shelters. It is also helpful in defining "truthful" and "material" in the context of tax shelter activity.

7. Tax court has jurisdiction over sham partnership determination in tax shelter case, Napoliello v. Commissioner, __ F.3d __, 2011 WL 3673124 (9th Cir., Aug. 23, 2011).

Taxpayer was a participant in a "son-of-boss" type tax shelter, in which he overstated his basis in a partnership interest and, subsequently, in property received in distribution from the partnership. The Service sent a FPAA to the partnership indicating its determination that the partnership lacked economic substance as was formed only for purposes of tax avoidance, and showing adjustments to the partnership tax return that reduced the partnership transactions to zero. No one contested these adjustments. Later that year, the Service sent a notice of deficiency to the taxpayer, indicating that his recalculated basis in property he received and sold was only $358,383, not $61.3 million as he had claimed. Taxpayer sought relief in the Tax Court, which granted summary judgment to the Service.

On appeal, Taxpayer first argued that the Tax Court lacked jurisdiction because the underlying notice of deficiency was invalid on account of the tact that the IRS should have made a direct adjustment in the FPAA. The Ninth Circuit disagreed, following the Sixth Circuit in *Desmet* that a partnership level determination was necessary because, in this case, the holding period and disposition of the stock required information that was not in the FPAA. It also noted that this result helps most partners, as it gives them the ability to contest the deficiency in the tax court, rather than paying the tax and filing a refund claim. (It would not help this taxpayer, however, since it would mean the statute of limitations had not run.)

Second, Taxpayer argued that the Tax Court lacked jurisdiction because the matter of whether the partnership distributing the property was a sham was not a partnership item. Therefore, any reliance on the FPAA to that effect was unwarranted. However, the Ninth Circuit likewise disposed of this claim, joining the D.C. and Eighth Circuits in holding that a determination of a partnership's validity is a partnership item. Among other reasons, the court noted that this kind of determination is more appropriately made at the partnership level, as the sham determination affects all partners.

Comment: Taxpayer's claims here were technical and clever. As a general matter, a sham determination should bind all partners, though there could be a case in which some partners are simply duped and the partnership is used to defraud them. Could a sham be one-sided in such a case, in order to deprive one party of tax benefits and allow them to others? Shouldn't a sham determination be based on objective facts, not partner-level intentions?

8. Brazilian DAD deal did not involve formation of bona fide partnership, Superior Trading, LLC v. Commissioner, 137 T.C. No. 6 (2011).

Arapua, a public company based in Sao Paulo, Brazil, had at one time been the largest consumer electronics and appliance retailer in Brazil. (Perhaps its credit policies had something to do with that!) Arapua had past-due receivables from its customers (mostly in the form of post-dated checks), which were characterized as “semi-performing” by the promoter of this transaction, John Rogers. Arapua contributed these receivables to Warwick, an Illinois-based LLC, in exchange for a 99-percent interest. Based on section 723, Warwick claimed a basis equal to the face value of the receivables, despite the fact that their fair market value was considerable lower than the face value. Warwick would soon redeem Arapua’s ownership interest, presumably generating a loss for Arapua, but no adjustment in basis of the receivables, since Warwick made no section 754 election. It then proceeded to offer the receivables to other LLCs (trading companies), which in turn offered interests to individual investors. Those trading companies would later sell the receivables to an “accommodating” party for FMV, generating losses.

During 2003-04, the partnerships claimed business bad debt deductions (and in one case, a capital loss) based on a carryover basis in the receivables. Although the partners would ultimately have to recognize a gain on the disposition of their partnership interests, they would benefit from the deferral of that gain (if indeed it ever materialized) and the immediate tax benefits from these losses. It should be noted that effective October 22, 2004, changes made by the American Jobs Creation Act of 2004 would prevent this strategy from working (see note 10 of the case for details); however, since these transactions occurred prior to that date, the Service would have to use other law to challenge its validity.

Complicating matters somewhat was the fact that there was real money to be made here based on the economics of collecting these debts. Although the IRS contended that there was “no chance” of earning pre-tax profit, the court was not convinced. Moreover, it “agreed with petitioners that the mere fact that tax losses from a transaction exceed the accompanying economic losses does not render the transaction devoid of economic substance.” However, the court was willing to sustain deficiencies based on a challenge to the validity of the partnership. First, the court noted that a valid partnership would require “a common intention to collectively pursue a joint economic outcome.” However, in this case, Arapua wanted cash to delay or avert a forced liquidation; the promoters wanted the built-in losses in order to generate tax deductions. These were not considered the same economic intention.

Further, the connectedness between the redemption of Arapua’s partnership interest less than two years after purported contribution supported this divergent view. Treas. Reg. § 1.707-3(c) presumes that transfers within two years are disguised sales, rather than contributions subject to the deferral and carryover basis regimes of IRC section 721-23. The taxpayer failed to overcome that presumption. Other grounds for concern here also involved the prior tax and accounting treatment of Arapua under Brazilian law, which suggested that no basis was available to transfer in the first place. (Notable here is the fact that foreign tax law might have some implications for basis under U.S. tax law.)

Further, the tax court also applied the step-transaction doctrine, which would ultimately treat this as a purchase of accounts receivable. However, since the taxpayer failed to substantiate the amount of the payments it made for the receivables, there would be no basis against to measure the loss. An accuracy penalty was also sustained.

Comment: As the court noted, “It seems only fitting that after devoting countless hours in the last decade to adjudicating Son-of-Boss transactions, we have now progressed to deciding the fate of DAD deals.” Legislative changes here suggest “do not try this at home”. Note also that prior to leaving the partnership, it would appear that losses triggered on the sale of the accounts receivable should be allocated to the contributing partner under section 704. However, the case *presents some very interesting partnership tax questions. Among them: what is a joint economic outcome worthy of partnership status? Is the mere fact that one partner is interested in tax savings enough to nix the validity of the enterprise? Is this case supportive of other tax planning where tax losses are a part of the economic calculus, but where income may well be generated from legitimate cooperative business activity? Note that Rogers, the promoter, has been permanently barred from promoting tax shelters. (United States v. Rogers, N.D. Ill. No 1:10 V 7068, 9/30/11 – as reported by BNA Daily Tax Report at 193 DTR K-2 (10/5/11)).*

9. Chinese bad debt scheme fares no better than the Brazilian scheme, Southgate Master Fund LLC v. United States, __ F.3d __, 2011 WL 4504781 (5th Cir., 9/30/11).

The Fifth Circuit likewise concluded that a tax strategy using a partnership contribution of nonperforming Chinese loans lacked economic substance, since the partnership was a sham, thereby resulting in the transaction being recharacterized as a sale.

10. Friends don't let friends enter into aggressive Roth IRA transactions, *Swanson v. Commissioner, T.C. Memo 2011-156.*

Swanson retired as president of Hughes Global Services in October of 2001 with over $1 million in his retirement plan. His friend, Nardi, introduced Mr. Swanson to the tax planning idea of a Roth restructure transaction. Despite Swanson's concerns and self-proclaimed desire not to violate the tax rules, he entered into the Roth transaction, paying $120,000 in fees that were split between a major accounting firm and a law firm. He did not get an opinion letter from anyone.

After he entered the transaction, this type of Roth IRA structuring became a listed transaction described in Notice 2004-8. After audit, the Service assessed not only the excise tax on the excess contributions but also an accuracy-related penalty. Ultimately, Swanson failed to meet the reasonable cause exception of I.R.C. § 6664(c)(1) due to his failure to seek independent qualified tax advice. A "no change letter" from the state of California for one of the tax years was not a basis for reliance. Here, taxpayer should have realized the planning was "too good to be true".

Comment: Caveat emptor. This does not lead to a happy retirement for this taxpayer, who ended up owing seven figures in tax and penalties. Unfortunately, the advisors he consulted were all related to the transaction. One of the promoters was enjoined from promoting sham structures. See United States v. Stover, 731 F.Supp.2d 887 (W.D. Mo. 2010). The government has a reasonable person standard to meet in showing negligence, but a taxpayer must meet the reasonable cause exception based on his own facts and knowledge. Here, the taxpayer's own doubts about the transaction, expressed many times to the promoters, may have harmed his case, particularly when he failed to follow-up on them.

11. Accuracy penalty, but not gross valuation penalty, applicable to KPMG shelter, Bergman v. Commissioner, 137 T.C. No. 10 (2011).

Taxpayers were participants in "Short Option Strategy" transactions described in Notice 2000-44, which generated losses affecting their 2001 tax year. KPMG had promoted these strategies, but in this case Taxpayer was a KPMG employee. He relied on another KPMG partner, Greenberg, to implement the strategy, and paid no fees to KPMG. On March 15, 2004, taxpayers filed an amended return that removed the losses and paid additional tax. However, they did not concede the propriety of the losses on that return. In 2005, the Service notified them that the 2001 return was being audited and it issued a deficiency based on penalties.

Critical to the penalty question was whether the taxpayer filed a Qualified Amended Return, which treats the additional tax reported on an amended return as though it was reported on the original return. See Treas. Reg. 1.6664-2(c)(2). The Service argued that the period in which a QAR could be filed had terminated because the IRS had contacted the promoter, KPMG, with regard to this transaction. The Service had served administrative summonses on KPMB on March 19, 2002, which explicitly involved promoter liability under section 6700. Although this was before taxpayer filed the amended return, there was a question whether KPMG was indeed the promoter of this strategy for this taxpayer.

This question turned on applicable California partnership law. Here, Greenberg was an agent of the partnership for carrying on its business, unless the partner had no authority and the other party knew he had no authority to act. Greenberg had done this work for both clients and partners. The court viewed these activities as within the scope of his partnership responsibilities, and that there was no limitation on his authority. It rejected taxpayer's testimony that partners were restricted for performing services without a fee, as it had done so for other partners. In the court's view, the summons covered this transaction, and thus there would be no opportunity to file a QAR, since doing so would no longer be "voluntary".

The taxpayers did get some good news from this case, however, in that they did not face a gross valuation penalty of 40 percent under section 6662(h). At issue in this case was whether the disallowed deduction was based on the ground of valuation. Taxpayers here had conceded the deduction "on grounds other than regarding the value or basis of the property". That basis for disallowing the deduction could be that the transaction lacked economic substance. There is a split in the circuits as to whether that is a sufficient foundation for the valuation penalty. Fortunately for these taxpayers, the Ninth Circuit in *Keller v. Commissioner*, 556 F.3d 1056 (9th Cir. 2009), supported the taxpayer's position, and the Tax court followed it. Thus, only the lesser 20 percent penalty applied.

Comment: The Service has recently announced that it will not acquiesce in the Keller decision, portending future litigation. See AOD 2011-2, I.R. B. 2011-44 (Oct. 31, 2011). A recent CCA also indicates that government litigators should not be conceding valuation misstatement penalties in abusive tax shelter cases. CC-2012-001 (Oct. 5, 2011). Accuracy and valuation penalties were both obtained in a recent case involving overstated basis, Gustashaw v. Commissioner, T.C. Memo 2011-195.

12. 40% gross valuation penalty applicable to basis overstatement in Son of Boss case, Fidelity Int'l Currency Advisor A Fund, LLC v. United States, __ F.3d __, 2011 WL 5009780 (1st Cir. 2011).

The First Circuit affirmed the district court (747 F.Supp.3d 49 (D. Mass. 2010) in upholding a 40% penalty "attributable to … gross valuation misstatement) under section 6662 of the Code. It rejected Fidelity's argument that there was no "misstatement" of basis on the partnership returns, since the partnership reported the net economic loss properly. As the court pointed out, the allocation to the individual partners, not the overall partnership position, was the relevant item for purposes of this penalty. Moreover, it also rejected Fidelity's attempt to distinguish this case, in which transactions really occurred but lacked economic substance, from those in which no transaction occurred. Both situations can trigger valuation penalties. Further, the court rejected arguments that the loss was not attributable to a valuation misstatement, given that other theories could have disallowed the losses. As the court noted, "one might think that it would be perverse to allow the taxpayer to avoid a penalty otherwise applicable to his conduct on the ground that the taxpayer had also engaged in additional violations that would support disallowance of the claimed losses." It joined a majority of circuit courts in rejecting that position. Finally, it also rejected an argument that the new economic substance penalty regime enacted in 2010 should cause the court to re-read prior law.

13. "No foreign tax credits for you!", Pritired 1, LLC v. United States, __ F.Supp. 2d__, 2011 WL 4552469 (S.D. Iowa 2011).

Principal Life Insurance Company was the tax matters partner in a partnership designed to harvest foreign tax credits. As the court explained:

> "The facts of this case are exceedingly complex. At the risk of oversimplification, the transaction at issue can be summarized as follows. American companies sent three hundred million dollars to French banks who combined the three hundred million dollars with nine hundred million dollars of their own. The money was used to earn income from low risk financial instruments. French income taxes were paid on the income from this approximately 1.2 billion dollar investment. The American companies received some cash from the income on the securities but, more importantly, were given the ability to claim foreign tax credits on the taxes paid on the entire 1.2 billion dollar pool. Through this transaction, the French banks were able to borrow three hundred million dollars at below market rates. The American companies received a very high return on an almost risk free investment. Only one thing could make such a transaction so favorable to everyone involved. United States taxpayers made it work."

The court's lengthy opinion covers a broad range of issues raised in tax shelter cases, including whether an investment constituted debt or equity, the validity of a partnership, economic substance (sham transaction), and the partnership anti-abuse rule. Principal did not get its $21.2 million tax refund based on the foreign tax credits generated here.

14. Taxpayer immersed in civil fraud claims gets partial repose from statute of limitations, Browning v. Commissioner, T.C. Memo 2011-261

Taxpayer was the CEO and principal shareholder of SBE, a closely held manufacturing corporation based in Vermont. Beginning in 1995, Taxpayer and SBE entered into an "employee leasing" arrangement. He "leased" his services as CEO to an Irish corporation, which through other corporations eventually "subleased" them back to SBE. Some of these payments from SBE got reported as wages by Taxpayer, but a significant portion ended up in offshore accounts and treated as "deferred compensation". Beginning in 1998, Taxpayer accessed these accounts through credit card arrangements, using the cards to pay significant personal expenses. Taxpayer did not report such amounts as income, and on Schedule B he responded "no" to the question regarding the existence of financial accounts in a foreign country.

Taxpayer was audited in 2002 and these accounts were discovered. The audit initially covered the 1999 and 2000 tax years, but it was later expanded to include earlier years reaching back to 1995. Taxpayer sought protection from the statute of limitations, and petitioned the Tax Court. At issue was whether the three-year limitations period under section 6501(c)(1) could be invoked, or whether his conduct here fell under the exception for filing "a false or fraudulent return with the intent to evade tax", in which case tax may be assessed at any time. Here, the Service bears a strong burden of proof regarding fraud, requiring clear and convincing evidence as in the case of imposing a civil fraud penalty under section 6663. Fraud is not imputed or presumed, and it requires affirmative evidence. However, the stakes are high, as if even part of the deficiency is attributable to fraud, then the entire taxable year remains open – including other items not covered by fraud.

The Tax Court concluded that this taxpayer had indeed constructively received payments that he did not report during the years at issue. Funds were credited to his account and made available to him to draw at any time, despite the fact that they were not paid to him immediately as wages. Further, the court agreed with the Service that this leasing company arrangement was a sham lacking in economic substance. Thus, there was clearly an underpayment of tax to satisfy the evasion prong.

As for fraudulent intent, the evidence was strong in the matter of returns filed in 1998-2000. "Badges of fraud" were found in the concealment of the foreign accounts, an intent to mislead the revenue agents (due to failing to respond accurately to their IDRs), and a general lack of credibility to their testimony, including their checking the "no" box on Schedule B during these tax years.

However, prior years presented a more complex picture, particularly due to the fact that he did not have credit card access to the account before 1998. The taxpayers argued that they simply intended these deferred compensation accounts to be treated in the manner of retirement accounts, and they and their tax return preparer believed this to be appropriate. The Tax Court considered this carefully, and ultimately held that the Service failed to prove fraud during these years, and thus assessments were barred by the statute of limitations.

Comment: This case illustrates the importance of careful lawyering when the potential for fraud is present. The "repose" offered by the statute of limitation is not available to fraudsters, but a high burden of proof makes it difficult for the IRS to overcome the fraud hurdle.

IX. Selected Employment/Withholding Tax Issues.

5. Entity structure disregarded, frustrating self-employment tax avoidance plan, Robucci v. Commissioner, T.C. Memo 2011-19.

Taxpayer ("R") was a psychiatrist who consulted with his attorney/CPA in order to reduce his federal tax liability. This professional recommended a plan to restructure his sole proprietorship into an LLC having two members: R(95%) and a professional corporation ("PC") (5%). R would be the sole shareholder of the PC. R's 95% interest in the LLC was further divided into two parts: a limited partner interest (85%) and a general partner interest (10%). R also formed a separate corporation ("W") to perform other services for the practice that did not involve medical care. W charged management fees to the LLC, but R did not know the nature of these charges, which were set up by the attorney/CPA in this case.

The goal here was to reduce R's self employment taxes, as under this regime, R would pay employment taxes only on the distributive share associated with his general partner interest (i.e., 10%) and not on the vast majority of the income associated with the practice which flowed to the limited partnership interest. However, the Service took the position that the corporations formed in this case lacked substance and should be disregarded as formed primarily for tax avoidance purposes.

The Tax Court agreed, finding that the corporations should be disregarded. Many of the traditional indicators of separate legal status were missing: no separate web sites or telephone listings, no formal agreements, such as rent agreements or contracts with third parties, and no separate advertising. The employment agreement with a billing clerk was not with the LLC, and Medicare and Medicaid were still billed using Dr. R's individual social security number. Under *Moline Properties*, 319 U.S. 436 (1943), a corporation will be recognized as a separate taxable entity if "(1) the purpose of its formation is the equivalent of business activity or (2) the incorporation is followed by the carrying on of a business by the corporation." Neither of these conditions were satisfied here. The corporations had no assets, they had no service contracts, and they paid no salaries. According to notes written by counsel, the PC "does nada". Therefore the entity was reduced to a single member LLC that was a disregarded entity. R was thus fully taxable on the income generated by the practice as though he was a sole proprietor.

Further, the court upheld an accuracy penalty. Despite his reliance upon a professional, the taxpayer failed to satisfy the court that he acted in good faith. Here, the result did seem to be "too good to be true", triggering a duty to inquire further, which R did not do. However, the court also suggested that, if this plan would have been "more carefully implemented, it well might have been realized, at least in part." Here, the failure to properly implement the separate entity structures should have sent warning signals to the taxpayer that there was no meaningful change in the manner in which he conducted his practice.

Comment: Richard Lipton has a nice commentary on this case, and its comparison to other cases invoking economic substance doctrine, Flextronics, Sundrup, and the Application of the Economic Substance Doctrine, 114 J. Tax'n 160 (March 2011). As Lipton points out, "a taxpayer can use multiple entities to conduct a trade or business, but the taxpayer must rigorously follow the form of the chosen arrangements." Although the court suggests that this kind of planning could work, a failure to issue definitive guidance on the matter of employment taxes in this context also leaves much uncertainty as to whether this is appropriate.

6. Embezzling accountant did not excuse responsible person liability for employment taxes, Oppliger v. United States, 637 F.3d 889 (8th Cir. 2011), cert. denied, 2011 WL 4369183 (10/31/11).

Taxpayers had trucking and feed businesses. A separate company was formed to handle the payroll functions for both. They hired an accountant to perform these functions. Unbeknownst to them, the accountant failed to turn over employment taxes withheld from employee wages for more than three years in one case, and more than four years in another company. The IRS had contacted the accountant and set up a meeting, but instead of attending, the accountant committed suicide. On April 4, 2002, the day after the suicide, an IRS agent came to the company offices to ask the Taxpayers why they had not attended the meeting with her. Taxpayers claimed they knew nothing of the meeting or the unpaid taxes until that point.

However, later in 2002, taxpayers paid over $2.1 million to employees and $3.2 million to its creditors. Pursuant to I.R.C. § 6672, the Government assessed penalties of more than $2.3 million against the taxpayers for the unpaid taxes. Taxpayers paid part of the claim and sought a refund; the Government counterclaimed to have the penalties reduced to judgment.

The District Court (Bataillon, J.) ruled in favor of the Government, reasoning that even if the accountant had fooled the Taxpayers and embezzled corporate funds, they were still responsible parties who willfully failed to pay, with willfulness demonstrated through paying over $5 million to employees and creditors after they received notice of the liability.

The Eighth Circuit affirmed. In doing so, it rejected the Taxpayers' argument that their liability should be limited to the meager cash balances of the company on April 4, 2002, based on their reading of *Slodov v. United States*, 436 U.S. 238 (1978). The Eighth Circuit found *Slodov* inapposite, as it involved a new actor coming in after the former responsible party had created the tax liability. In this case, Taxpayers were responsible parties both before and after April 4, 2002.

Comment: In this part of the country, particularly where legal gambling is easily accessible to employees, embezzlement is a genuine threat. Responsible parties should take care to implement effective internal controls to ensure that embezzlers don't get the best of them. This case shows that the Government takes the position that paying these taxes has precedence over paying employees or third-party creditors. Query whether a prudent creditor might also consider some assurances that these obligations are being met. Also note: willfulness does not require an evil motive.

7. Signing Form 2751 is evidence you are the responsible person, Moore v. United States, 648 F.3d 634 (8th Cir. 2011).

Moore was an attorney who owned 50 percent of the Iowa Trade Bindery. He also served as Vice President, Secretary, and Treasurer. Harris, the other 50 percent owner, served as President and was primarily responsible for day-to-day operations. In 2002, the Service notified Harris of delinquencies in trust fund taxes. Moore and Harris met with an IRS officer in 2003, who threatened levy and seizure of assets unless the company paid their taxes. During that meeting, Moore signed Form 2751 ("Proposed Assessment of Trust Fund Recovery Penalty") covering some of the quarters at issue, filling in his name, address, and SSN for the "Person Responsible". That document also includes language to consent to assessment and collection of the penalty. Moore would later pay the tax and then file a claim for a refund based on challenging his status as responsible party. After a three day trial in which Form 2751 was admitted into evidence by the Government, Moore's claim was denied. This appeal followed, in which Moore alleges that Form 2751 should not have been admitted. Despite some old authorities predating the adoption of the Federal Rules of Evidence in 1973, which were supportive of Moore's position, the Eighth Circuit held that the form was admissible on the issue of whether he was a responsible party. It also rejected Moore's claims that he did not receive appropriate notice, as the Form itself notified him.

Comment: Even a "licensed attorney" sometimes signs things that he may not have read carefully or understood – and in this case there is clearly regret for such behavior. For another recent case involving a CEO/co-founder who was found to be a responsible party (note there can be more than one in a given enterprise) and willfully failing to pay over trust fund taxes based on a failure to follow-up with company bookkeepers as to tax payments, see Jenkins v. United States, __ Fed. Cl.__, 2011 WL 4098972 (9/15/2011).

8. Tribe that is "common-law employer" is exempt from FUTA taxes, Blue Lake Rancheria v. United States, 653 F.3d 1112 (9th Cir. 2011).

Section 3306(c) contains an exemption for employment for services "performed in the employ of a State, or any political subdivision thereof, or in the employ of an Indian tribe, or any instrumentality [thereof] …." Here, the tribe ran an employment leasing company, Mainstay Business Solutions, that provided temporary staffing for its clients. Mainstay hired the client's employees and then "leased" them back to the client, who continued to supervise them on a day-to-day basis. However, Mainstay paid the wages, provided benefits, and performed other HR functions.

Although the Ninth Circuit ruled that only common-law employers, and not merely statutory ones (which served only as their paymaster), would qualify for the tribal exemption, the court found that the arrangement here did constitute common-law employment. Here, the unusual three-party nature of the employment arrangement differed from the traditional employer vs. independent contractor analysis applied in other contexts. The court looked to the contractual relationship and the duties to comply with Mainstay's employment policies as outweighing the supervision and control of day-to-day activities that resided with the leasing party.

Comments: Given the importance of tribal businesses in this area, tax advisors who represent tribal entities should take note of this precedent. By the same token, temporary services would likely face FUTA obligations for employees assigned to tribal entities under similar arrangements, as the tribe's supervision may not make them the common law employer for this purpose.

9. Interim guidance on voluntary health insurance reporting by employers, Notice 2011-28

The PPACA adds I.R.C. § 6051(a)(14), which requires employers to report the aggregate cost of employer-provided health care benefits to employees beginning in the 2012 tax year. (Notice 2010-69 had made this requirement optional in 2011, given the need to adjust payroll processing systems and to implement the new reporting amounts.) This notice provides guidance to implement this on a voluntary basis in 2011.

Comment: Although this reporting does not currently involve any additional tax obligations, it will highlight the tax-favored treatment accorded these fringe benefits. In later tax years, high-value plans may lead to additional taxes under PPACA, assuming this health care reform regime survives.

10. Voluntary classification settlement program, Announcement 2011-64, I.R.B. 2011-41

The Service has offered employers who have erroneously treated workers as nonemployees or independent contractors to take a streamlined path toward compliance. Among other requirements, the settlement program requires that the employers have previously filed all the required Form 1099s for their workers during the past three years, and it may not be currently under audit by either the IRS, Department of Labor, or state agency. A payment covering ten percent of the employment tax liability that would have been due on compensation paid during the most recent tax year, determined under the reduced rates of I.R.C. § 3509, is also required.

Comment: This election will buy audit protection and avoid penalties. It could be worth the price of admission. But then again, some practitioners are advising caution. For additional insights and prudent advice, see John J. McGowan, Jr., Safe Harbor of Venus Flytrap? What to Make of the IRS Offer to Voluntarily Settle Worker Misclassification Problems, 208 BNA Daily Tax Report at J-1 (October 27, 2011).

X. Significant Legislation.

1. Tax Relief, Unemployment Insurance Reauthorization, and Job Creation Act of 2010, Pub. L. No. 111-312, 124 Stat. 3296 (12/17/10).

This is the extenders bill, which got a lot of attention last year at this time. Section 601, which implemented payroll tax cuts, will expire at the end of this year, while other significant provisions effecting a continuation of the Bush-era tax cuts will not expire until the end of next year.

Comment: This is old news, but as the saying goes, everything old is new again. Will December 2012 be a repeat of December 2010 in terms of tax practitioner and client anxieties?

2. Comprehensive 1099 Taxpayer Protection and Repayment of Exchange Subsidy Overpayments Act of 2011, Pub. L. No. 112-9 , 112 Stat. 36, (4/14/11).

- Removes PPACA additions with regard to 1099 reporting for corporate payees, formerly in § 6041(i) and (j)
- Removes expanded rental property expense payment reporting, formerly in § 6041(h)

Comment: Much ink was spilled and angst generated in the taxpayer community over these provisions.

3. American Invents Act, Pub. L. No 112-29 (September 16, 2011)

This bill precludes USPTO from issuing "tax strategy" patents, which have proven controversial within the tax community during the past several years. Although the law does not affect the status of existing patents, it is significant in restricting the proliferation of these intellectual property-based constraints on tax planning.

4. Repeal of 3402(t) withholding for government payments?, H.R. 674.

A withholding requirement affecting payments from federal, state and local governments (see I.R.C. § 3402(t)) is a likely target for repeal. The withholding requirement was created under the Tax Increase Prevention and Reconciliation Act of 2005, which had initially required implementation by January 1, 2011. However, implementation was delayed to 2012 by legislation in 2009, and the Service further delayed implementation until 2013. The provision was designed to close the tax gap through requiring withholding, thereby enhancing compliance. Various groups (including physicians receiving Medicare payments) have raised significant concerns about the effects of implementation on their businesses, which appear to be shared by majorities in both chambers of Congress. Even the White House supports the intent of this bill as a means to limit the burden on government contractors. The House passed this bill on 10/27 (405 yes-16 no) and the Senate passed a similar bill on November 11 (95 yes – 0 no, with 1 "present"), but an amendment will send this back to the House.

Comment: If all else fails, should we expect another delay in implementation as a means of compromise? For additional commentary, see Benjamin A. Jung, "If Repeal Fails, Tax Code Offers Precedent to Protect Contractors' Profit Margins, 205 BNA DTR J-1 (10/24/11).